

Amplification or Insulation? The Role of Agency Ideology in Donation-Linked Favoritism in U.S. Federal Contracting

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Federal contracting, worth more than \$700 billion annually, is systematically shaped by political donations. However, the donation-to-favoritism relationship varies substantially across agencies. This paper argues that agency ideology is a key moderator of this relationship. I test this argument by extending Fazekas et al.'s (2023) agency independence model with Acs's (2025) dynamic agency ideal point estimates. The replication reproduces the finding that the donation effect on the favoritism risk index is 0.131 points larger in cabinet agencies than in independent agencies ($p = 0.006$), with no significant baseline effect at the 5 percent level in independent agencies. The extension finds that regulatory agencies exhibit a larger donation-favoritism relationship, especially for medium donations to the party in power and in the DDD specification around the 2009 administration change. The continuous president-agency distance measure provides mixed evidence: firms are more likely to donate as agencies become more ideologically distant from the president, which cuts against the simple proximity version of the amplification hypothesis. These findings most clearly support a discretion mechanism and suggest that recent executive branch politicization may expand the scope of donation-linked favoritism in federal contracting.

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INTRODUCTION

The second Trump administration has driven a wave of government reforms aimed at reshaping the federal bureaucracy. President Trump signed Executive Order 14158 of January 20, 2025 to launch the Department of Government Efficiency (DOGE). DOGE has pursued a transparent consolidation of executive control over agency budgets and procurement, with the stated goal of improving efficiency and accountability and with claimed savings of “215 billion dollars of government spending” and “1,335.4 dollars per federal taxpayer” ([The White House 2026](#); [Department of Government Efficiency 2025](#)). This reform has involved mass appointments of political loyalists to key agency positions,

structural reorganization to centralize decision-making authority, and a systematic reshaping of agency ideology through targeted staffing and policy directives (Bonica 2025). These changes have intensified ongoing debate about their implications for bureaucratic agency productivity and the politics of federal contracting based on agency ideology (Fazekas et al. 2023; Dahlström et al. 2021; Gailmard and Patty 2012; Brunjes and Rodriguez-Plesa 2024; Huber and McCarty 2004; Acs 2025). On one hand, proponents argue that aligning agencies more closely with presidential preferences will enhance policy coherence and responsiveness (Lewis 2008; Gailmard and Patty 2012). On the other hand, critics warn that such consolidation of control may amplify partisan favoritism in contracting, undermine democratic accountability, and distort regulatory outcomes (Dahlström et al. 2021; Spenkuch et al. 2023).

Understanding how agency ideology shapes the politics of federal contracting is therefore crucial for evaluating the consequences of these government reforms and for informing future institutional design in the long run. The U.S. federal government spends more than \$700 billion annually on goods and services through competitive contracting, making it a critical arena where political influence can have significant economic and policy implications. A growing body of research establishes that firms' political donations to the party controlling the White House increase their chances of receiving favorable contracts, raising fundamental concerns about democratic accountability (Witko 2011; Goldman et al. 2013; Fazekas et al. 2023; Dahlström et al. 2021). Yet the magnitude of this effect varies systematically across agencies. Which institutional features explain this variation, and why, remains underexplored.

This paper argues that agency ideology is the key moderator of the relationship between political contributions and agency contracting. Drawing on principal-agent theory, I contend that ideological proximity between an agency and the president shapes how readily contracting officials respond to partisan signals from donors. When an agency's ideal point closely tracks the president's, officials are more receptive to politically motivated contracting preferences, amplifying the donation-to-contract relationship. When agencies are ideologically distant, political pressure translates less directly into favorable contracting outcomes. Moreover, the moderating effect of agency ideology should be larger in agencies with more contracting discretion, as statutory rules fully determine some contract decisions while others allow for more official judgment (Epstein and O'halloran 1999; Huber and Shipan 2002).

I test this argument by extending two recent studies. First, [Acs \(2025\)](#) provides dynamic agency ideal point estimates derived from an item response theory (IRT) model of the Office of Information and Regulatory Affairs (OIRA) regulatory review patterns, finding that ideologically proximate agencies produce more regulatory output. Second, [Fazekas et al. \(2023\)](#) demonstrate that companies' political contributions increase favoritism risks in U.S. federal contracting, favoring firms that make political donations. The effects are concentrated in less independent agencies, suggesting that structural independence from presidential control mitigates partisan favoritism. I bring these frameworks together: using the [Acs \(2025\)](#) ideal points as a continuous agency ideology measure, I investigate whether president-agency ideological distance moderates the contribution-favoritism relationship examined by [Fazekas et al. \(2023\)](#), along with regulatory versus non-regulatory agency status and contracting outcomes (e.g., total contract value, number of contract awards).

Preliminary results provide mixed support for this argument. Replicating [Fazekas et al. \(2023\)](#), the donation-favoritism relationship is concentrated in cabinet agencies: the donation effect on the favoritism risk index is 0.131 points larger in cabinet agencies than in independent agencies ($p = 0.006$), while the independent-agency baseline effect is not significant at the 5 percent level. In the extension, regulatory agencies show a larger donation-favoritism relationship, especially for medium donations to the party in power and in the DDD specification around the 2009 administration change. The [Acs \(2025\)](#) continuous agency ideology measure complicates the simple proximity account: firms are more likely to donate as agencies become more ideologically distant from the president. The results therefore support the discretion hypothesis most clearly, while the amplification hypothesis receives partial support.

These findings contribute to the literature on the politics of federal contracting by pointing to two complementary mechanisms through which agency ideology may shape these dynamics. [Fazekas et al. \(2023\)](#) show that contributions increase favoritism through the channel of agency independence: agencies with weaker formal insulation from political principals are more responsive to partisan signals about donor preferences. This paper extends that logic to regulatory authority: the interaction between donations and the regulatory agency indicator tests whether the value of political investment is higher where agencies possess rulemaking power, capturing variation in the donation-favoritism relationship

that independence tier alone does not directly address. In parallel, [Acs \(2025\)](#) find that ideological distance between president and agency depresses regulatory output. Translating this into the contracting context, the positive relationship between distance and donation probability suggests that firm targeting does not simply follow presidential proximity. The methods follow from these chains: interaction fixed-effects estimation for favoritism risk, logistic regression for the binary donation decision, and negative binomial regression for count outcomes where overdispersion is present.

The paper proceeds as follows. Section 2 reviews theory and prior work. Section 3 presents the empirical strategy. Section 4 reports the results. Section 5 discusses mechanisms, implications, and limitations. Appendix A summarizes the replications, Appendices B and C report the relevant replication tables and figures for [Acs \(2025\)](#) and [Fazekas et al. \(2023\)](#), and Appendix D reports robustness checks for alternative outcome models, overdispersion, and regulatory-agency matching.

AGENCY IDEOLOGY AND THE POLITICS OF FEDERAL CONTRACTING

Political Contributions, Access, and Contracting Favoritism

The channel through which political donations influence federal contracting operates through access rather than explicit exchange. Firms that contribute to the ruling party gain preferential access to political networks, signal cooperative intent to the president's coalition, and are more likely to be present when contracting decisions are made informally ([Witko 2011](#); [Dahlström et al. 2021](#)). The empirical finding is consistent: contributions to members of key oversight committees increase contract awards ([Witko 2011](#)), politically connected boards win more contracts after party transitions ([Goldman et al. 2013](#)), and winning candidates direct contracts toward their donors even in contexts with relatively robust procurement rules.

[Fazekas et al. \(2023\)](#) provide the most comprehensive evidence for the U.S. federal system. Combining transaction-level federal contract data with campaign contributions data from [Bonica \(2016\)](#) for 2004–2015, they construct a favoritism risk index (FRI) that aggregates signals of noncompetitive

procedures and outcomes. Using fixed effects regression, propensity score matching, and regression discontinuity at contribution thresholds, [Fazekas et al. \(2023\)](#) find that a large increase in contributions (from \$10,000 to \$5 million) raises favoritism risk by approximately one-quarter of a standard deviation. The effect is partisan (contributions to the party holding the presidency matter more than contributions to the opposition) and is driven largely by noncompetitive award practices in executive departments.

Agency Ideology: Structural Independence versus Ideological Proximity

The existing literature explains cross-agency variation in donor favoritism primarily through a structural lens. Agencies insulated from presidential control by statute (fixed-term appointments, removal-for-cause protections, and bipartisan boards) show less partisan distortion in contracting ([Dahlström et al. 2021](#); [Fazekas et al. 2023](#); [Selin 2015](#)). This independence-tier framework, while influential, conflates two conceptually distinct dimensions. *Structural independence* constrains the president's ability to staff agencies with loyalists. *Ideological proximity* determines how readily existing staff act on partisan cues even absent explicit pressure.

[Acs \(2025\)](#) separates these dimensions empirically. Applying an IRT measurement model to Unified Agenda rulemaking proposals and OIRA discretionary review decisions from the Clinton through the Trump administrations, the author estimates dynamic agency ideal points on a common NOMINATE-linked scale. The paper's core finding, that agencies ideologically proximate to the president produce more regulatory output, suggests that ideological alignment shapes bureaucratic behavior in ways not fully captured by statutory structure ([Acs 2025](#)). I extend this logic to contracting as a testable implication: if proximity also shapes contracting, agencies whose preferences align with the president should be more responsive to the president's implicit contracting preferences, including rewarding co-partisan donors.

Earlier approaches to measuring agency ideology used congressional testimony patterns ([Bertelli and Grose 2011](#)), expert surveys of agency preferences ([Clinton and Lewis 2008](#)), and appointee CFscores ([Nixon 2004](#)). The [Acs \(2025\)](#) estimates improve on these by dynamically capturing ideological shifts across administrations and by being rooted in the actual regulatory review process rather than expert

perceptions. [Spenkuch et al. \(2023\)](#) provide complementary evidence on contracting officers: by exploiting presidential transitions as a source of within-bureaucrat variation in political alignment, they find that ideologically misaligned contracting officers produce contracts with greater cost overruns and delays, consistent with a motivation channel.

What remains unclear is how these two dimensions of agency ideology, structural independence and ideological proximity, interact to shape the politics of federal contracting. Do ideologically proximate agencies amplify the baseline donation-favoritism relationship documented by [Fazekas et al. \(2023\)](#), or does strong ideological commitment insulate officials from outside political pressure? The answer has important implications for understanding the mechanisms through which agency ideology shapes contracting outcomes and for evaluating the consequences of recent government reforms that systematically reshape agency ideology.

Hypotheses

The relationship between agency ideology and donor-linked favoritism contains two competing predictions.

H1: Amplification Hypothesis Agencies ideologically proximate to the president are staffed by officials who share the president's coalition-building incentives. These officials are more likely to treat partisan contribution signals as legitimate guidance, less likely to apply rigorous scrutiny to donors' bids, and more willing to use discretionary procedures that favor connected firms ([Lewis 2008](#); [Hollibaugh et al. 2014](#)). Ideological alignment therefore amplifies the baseline donation-favoritism relationship documented by [Fazekas et al. \(2023\)](#).

H2: Insulation Hypothesis. Strong ideological commitment, whether aligned or opposed, generates mission commitment that insulates officials from outside political pressure ([Gailmard and Patty 2012](#)). On this view, the most ideologically proximate agencies are the most motivated to serve the president's substantive policy goals rather than his electoral-coalition goals. Agencies in the ideological middle, less committed to any clear mission, may be most susceptible to donor pressure. This implies a non-monotonic moderation effect.

The amplification hypothesis is the baseline expectation for two reasons. First, it is consistent with the structural logic in [Fazekas et al. \(2023\)](#), where more politicized agencies (closer to the president by virtue of appointee density) show more favoritism. Second, the presidential appointments literature finds that loyalty considerations intensify as electoral salience increases ([Hollibaugh et al. 2014](#)), suggesting that aligned officials face stronger pressure to reward co-partisan donors. The insulation alternative motivates caution in interpreting ideological proximity as uniformly increasing donor responsiveness.

H3: Discretion Hypothesis A third scope condition refines both hypotheses: the moderation effect should be larger in agencies with more contracting discretion. Statutory rules fully determine some contract decisions; ideological alignment has scope to operate only where officials exercise meaningful judgment ([Epstein and O'halloran 1999](#); [Huber and Shipan 2002](#)). I test this by interacting the ideology moderator with an indicator for regulatory versus non-regulatory agencies, expecting amplification to concentrate in the more discretion-heavy regulatory environments.

The extensions test these hypotheses directly. *H1* is evaluated by interacting the [Acs \(2025\)](#) continuous distance measure with donation variables in the [Fazekas et al. \(2023\)](#) framework: a negative distance interaction would support proximity-based amplification, while a positive coefficient would cut against it. Logistic regression of donation probability on distance provides a firm-level test of *H1*. *H3* is evaluated by the `regulatory_finalmatch` interaction and by the DDD specification, which tests whether amplification concentrates in regulatory agencies during partisan-aligned administrations. Appendix D reports auxiliary checks for alternative outcome models, overdispersion, and regulatory-agency matching.

EMPIRICAL STRATEGY

[Fazekas et al. \(2023\)](#) use a four-category independence-tier classification as the primary moderator of the donation-favoritism relationship. This classification captures formal statutory structure but treats all within-tier variation as noise and is static across administrations. [Acs \(2025\)](#) provide a continuous, dynamic alternative: agency ideal points estimated administration by administration from revealed

OIRA review behavior. Using this measure as a replacement for independence tier tests whether the categorical classification masks meaningful within-tier variation in presidential influence. The [Acs \(2025\)](#) validation model uses regulatory output as the outcome; shifting the outcome to contracting behavior examines whether the same ideological alignment measure is associated with who receives contracts and how politically active those contractors are, not only how many rules an agency produces.

The extensions develop two frameworks to examine the role of agency ideology in the favoritism effect. First, using the [Fazekas et al. \(2023\)](#) framework, I replace the agency independence-tier moderator with a binary regulatory-agency indicator (`regulatory_finalmatch`) constructed by matching agencies in [Fazekas et al. \(2023\)](#) to the [Acs \(2025\)](#) regulatory sample. The interaction of donations with regulatory status tests whether the favoritism effect is concentrated where agencies hold formal rulemaking authority. A difference-in-differences-in-differences (DDD) model adds presidential-party period as a third dimension and uses the 2009 administration change to test whether donation-driven favoritism in regulatory agencies is further amplified when donors' preferred party controls the executive branch. The interaction of president-agency distance with the donation indicator tests whether the donation effect on contracting outcomes is larger for ideologically proximate agencies, consistent with the *amplification hypothesis*. A triple interaction with the regulatory agency indicator tests the *discretion hypothesis* by examining whether this moderation effect is stronger in regulatory environments.

Second, in the [Acs \(2025\)](#) framework, I shift the outcome from rule production to contracting outcomes to examine the relationship between agency ideology and contracting decisions. [Acs \(2025\)](#) finds that ideological distance between the president and an agency is associated with lower regulatory output. A parallel mechanism may operate on the firm side: if firms anticipate that ideologically close agencies are more responsive to political pressure, they should donate when distance is small. I test whether firms are less likely to donate to ideologically distant agencies with a logistic regression of the binary donation indicator `isDonation` on `distance`, controlling for agency fixed effects (formal specification in Equation 2). A posterior predictive check comparing Poisson and negative binomial fits supports the negative binomial specification used in the original paper. I then test whether ideological distance predicts where an agency falls in the four-tier independence hierarchy from [Fazekas et al. \(2023\)](#), using ordered logistic regression (formal specification in Equation 3).

Data

The analysis combines four data sources:

Transactional-level Federal Contract Data: contract-level records of federal procurement contracts from [USAspending.gov](#), covering 2004–2015. The unit of analysis is the procurement contract, consistent with [Fazekas et al. \(2023\)](#).

DIME: campaign contribution records matched to firm identifiers for 2004–2015 from [Bonica \(2016\)](#). The key variable is the log of total contributions to the president’s party in congressional term t , following [Fazekas et al. \(2023\)](#).

Agency Ideal Points: dynamic agency ideal points estimated for four presidential administrations from 2001 to 2020, for each agency ([Acs 2025](#)). The primary moderator is $|\hat{\theta}_a - \hat{\theta}_{\text{pres},t}|$, the absolute ideological distance between agency a and the sitting president in administration t , where larger values indicate greater ideological distance. The ideal points are continuous, estimated separately for each administration, and linked to a common NOMINATE scale using the president’s score as an anchor that allows dynamic shifts in agency ideology across administrations. The [Acs \(2025\)](#) dataset covers regulatory agencies; I match these to the full agency set in [Fazekas et al. \(2023\)](#) to construct the binary regulatory status indicator.

Agency Characteristics: independence tier, regulatory/non-regulatory classification, contract-level characteristics, and other fixed effects (e.g., product category, state, contracting agency, and congressional term) are drawn from [Fazekas et al. \(2023\)](#) and [Dahlström et al. \(2021\)](#).

The data merge is central to the extension. The [Fazekas et al. \(2023\)](#) contracting sample contains 175 agencies. The final regulatory classification identifies 102 agencies as regulatory after combining strict [Acs \(2025\)](#) matches, broad Federal Register rulemaking matches, and fuzzy name checks. Regulatory agencies account for 42.7 percent of contract observations. Agencies not classified as regulatory remain in the analysis as non-regulatory agencies, so the regulatory-status extension changes the moderator rather than dropping unmatched contracting observations.

Outcome Variables

Two outcomes operationalize favoritism in federal contracting:

Favoritism Risk Index (FRI): the composite index `CRI7_final` from [Fazekas et al. \(2023\)](#) is the primary outcome for the regulatory-match and DDD tests (contract level).

Donation and contracting outcomes: log donation amount (`logDonation`) and total contract count (`n_contracts`), used to test whether ideological distance predicts contractor activity at the agency level.

Agency Ideology Measures

Measure	Source	Scale	Interpretation
President-agency distance	Acs (2025)	Continuous	Smaller = more aligned
Independence tier	Fazekas et al. (2023)	4-category ordinal	Higher = more insulated
Regulatory environment	Acs (2025) , Fazekas et al. (2023)	Binary	1 = regulatory agency
Racial/ethnic leadership diversity (future research)	OPM/payroll data	Continuous	Higher = more diverse leadership

The president-agency distance measure is the primary contribution of this extension. It is continuous, dynamic (varying by administration), and grounded in revealed preference (OIRA review behavior) rather than expert opinion or statutory classification ([Acs 2025](#); [Clinton and Lewis 2008](#)). The independence and regulatory measures serve as alternative moderators and allow me to examine whether different *dimensions* of agency ideology produce different effects. Racial and ethnic leadership diversity is reserved for future research.

Model Specification

The main estimation extends [Fazekas et al. \(2023\)](#) by replacing the independence-tier interaction with a continuous ideology interaction:

$$Y_{iat} = \beta_1 D_{it} + \beta_2 (D_{it} \times \text{Ideology}_{at}) + \beta_3 \text{Ideology}_{at} + \mathbf{X}'_{iat} \gamma + \mu_f + \mu_p + \mu_s + \mu_c + \varepsilon_{iat} \quad (1)$$

where Y_{iat} is the FRI, D_{it} is the donation variable, and Ideology_{at} is one of the measures in the table above. μ_f , μ_p , μ_s , and μ_c are firm, product category, state, and congressional term fixed effects, following [Fazekas et al. \(2023\)](#). Standard errors are clustered at the firm and congressional term levels.

The key parameter of interest is β_2 . For the regulatory indicator, $\beta_2 > 0$ indicates that the donation-favoritism relationship is larger in regulatory agencies, consistent with the *discretion hypothesis*. For the continuous distance measure, a negative interaction indicates that larger ideological distance weakens the donation-favoritism effect, consistent with the *amplification hypothesis*. Under the *insulation hypothesis*, the relationship is attenuated or non-monotonic.

For the [Acs \(2025\)](#) framework, the logistic regression of donation probability on ideological distance is:

$$\Pr(\text{isDonation}_{ift} = 1) = \text{logit}^{-1}(\alpha + \beta \cdot \text{distance}_{at} + \pi_a) \quad (2)$$

where π_a is an agency fixed effect and distance_{at} is the ACS absolute president-agency ideological distance. A negative $\hat{\beta}$ indicates that firms donate more when the agency's ideology is close to the president, consistent with strategic targeting of politically aligned agencies.

I then test whether ideological distance predicts where an agency falls in the four-tier independence hierarchy from [Fazekas et al. \(2023\)](#), using ordered logistic regression:

$$\Pr(\text{agency_cat}_a > k) = \text{logit}^{-1}(\beta \cdot \text{distance}_a - c_k), \quad k = 1, 2, 3 \quad (3)$$

where c_k are cutpoints estimated alongside β . This model tests whether the dynamic estimates of

agency ideal points from [Acs \(2025\)](#) refine or replace the categorical independence classification in [Fazekas et al. \(2023\)](#), which distinguishes (1) most independent agencies, (2) independent but not commission-based, (3) agencies with some independence but also more direct presidential oversight, and (4) least independent agencies (e.g., cabinet and executive departments).

Alternative Specifications I also estimate a triple-interaction specification adding a presidential-party indicator to test scope conditions for the DDD model around the 2009 administration change. An ordered logistic regression of the independence tier on mean ideological distance (see Equation 3) tests whether the [Acs \(2025\)](#) continuous estimates capture the same variation as the [Fazekas et al. \(2023\)](#) categorical moderator.

Identification The main threat to identification is that ideologically aligned agencies may receive more resources or face different firm composition, confounding the interaction. Firm, product category, state, and congressional term fixed effects absorb time-invariant versions of both. I additionally control for agency budget (log), agency size (log employment), and firm size.

RESULTS

Regulatory Status as Moderator

Before presenting the tables, I define the donation bins used in the regulatory-status models. Following [Fazekas et al. \(2023\)](#), “large” donations are above the 90th percentile of donation values. The medium-large threshold is \$5,640,807 for all donations and \$2,901,566 for donations to the majority party. “Majority” refers to the party in power.

Table 1 directly tests whether the effect of donations on favoritism differs by regulatory status, replacing the four-tier independence moderator with the binary `regulatory_finalmatch` indicator. The interaction terms isolate whether firms receive differentially favorable treatment in agencies with binding rulemaking authority. The strongest regulatory-status difference appears for medium donations to the majority party: the interaction is positive and statistically significant, while the large-donation interaction is small and statistically indistinguishable from zero. The medium-donation interaction

is also positive, though only marginally significant. The pattern suggests that regulatory discretion matters most for intermediate contribution levels rather than the largest donors.

Table 1. Extension Table 4: Regulatory match and donations on FRI

	Favoritism Risk Index (FRI)				
	(1)	(2)	(3)	(4)	(5)
Donation dummy	0.022 (0.355)	−0.304*** (<0.001)		−0.103** (0.010)	
Log donation		0.031*** (<0.001)			
Log donation to majority (β_1)				0.015** (0.007)	
Med. donation			0.034 (0.281)		
Lrg. donation			0.281** (0.002)		
Intermediate donation to majority (β_1)					−0.003 (0.880)
Large donation to majority (β_3)					0.296*** (<0.001)
Log contract value	−0.070*** (<0.001)	−0.071*** (<0.001)	−0.071*** (<0.001)	−0.071*** (<0.001)	−0.071*** (<0.001)
GSA-run procurement	−0.422 (0.152)	−0.418 (0.154)	−0.419 (0.154)	−0.419 (0.153)	−0.420 (0.153)
Commercial item	−0.006 (0.804)	−0.006 (0.802)	−0.006 (0.822)	−0.006 (0.797)	−0.005 (0.829)
Fixed-price contract	0.182 (0.121)	0.180 (0.121)	0.180 (0.121)	0.181 (0.121)	0.180 (0.121)
Cost-plus contract	0.129 (0.302)	0.125 (0.312)	0.125 (0.311)	0.127 (0.305)	0.127 (0.305)
Regulatory agency (final match)	−0.194** (0.006)	−0.193** (0.006)	−0.193** (0.007)	−0.192** (0.007)	−0.196** (0.006)
Donation dummy $\times$ Regulatory agency	0.046 (0.138)				
Log donation $\times$ Regulatory agency		0.004 (0.138)			
Med. donation $\times$ Regulatory agency			0.070+ (0.099)		
Lrg. donation $\times$ Regulatory agency			−0.013 (0.838)		
Log donation to majority $\times$ Regulatory agency				0.004 (0.209)	
Med. donation to maj. $\times$ Regulatory agency					0.075* (0.030)
Lrg. donation to maj. $\times$ Regulatory agency					−0.032 (0.616)
Num.Obs.	440 987	440 987	440 987	440 987	440 987
R2	0.317	0.318	0.317	0.317	0.317

+ $p < 0.1$, * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$

Table 2 replicates the extension specification with lagged firm revenue as an additional control, addressing the concern that firm size simultaneously predicts donation behavior and contract outcomes. Coefficient estimates on the donation-regulatory interaction are substantively similar to those in Table 1, supporting the robustness of the primary results. Relative to Table 1, the donation dummy interaction becomes statistically significant, and the medium-donation-to-majority interaction remains positive and significant. The regulatory-agency classification underlying these models is documented in Appendix D, especially Tables D8–D13. This reinforces the interpretation that regulatory agencies are the setting where contribution-linked favoritism risk is most visible.

Table 2. Extension Table A13: Regulatory-match models with lagged revenue

	Favoritism Risk Index (FRI)				
	(1)	(2)	(3)	(4)	(5)
Donation dummy	−0.047+	−0.207**		−0.095*	
	(0.074)	(0.007)		(0.024)	
Log donation		0.016*			
		(0.017)			
Log donation to majority (β_1)				0.007	
				(0.101)	
Med. donation			−0.043		
			(0.184)		
Lrg. donation			0.115*		
			(0.044)		
Intermediate donation to majority (β_1)					−0.063*
					(0.035)
Large donation to majority (β_3)					0.127*
					(0.012)
Log contract value	−0.078***	−0.078***	−0.078***	−0.078***	−0.078***
	(<0.001)	(<0.001)	(<0.001)	(<0.001)	(<0.001)
GSA-run procurement	−0.548+	−0.548+	−0.548+	−0.548+	−0.548+
	(0.089)	(0.089)	(0.089)	(0.089)	(0.089)
Commercial item	0.005	0.005	0.005	0.005	0.005
	(0.823)	(0.847)	(0.829)	(0.844)	(0.816)
Fixed-price contract	0.209	0.208	0.208	0.209	0.208
	(0.115)	(0.115)	(0.115)	(0.115)	(0.115)
Cost-plus contract	0.140	0.138	0.138	0.139	0.139
	(0.320)	(0.323)	(0.322)	(0.320)	(0.320)
Log(revenue _{t−1})	0.030***	0.028***	0.027***	0.029***	0.028**
	(<0.001)	(<0.001)	(<0.001)	(<0.001)	(0.001)
Regulatory agency (final match)	−0.211**	−0.210**	−0.209**	−0.209**	−0.212**
	(0.007)	(0.007)	(0.007)	(0.007)	(0.007)
Donation dummy × Regulatory agency	0.064*				
	(0.042)				
Log donation × Regulatory agency		0.005+			
		(0.053)			
Med. donation × Regulatory agency			0.088+		
			(0.052)		
Lrg. donation × Regulatory agency			0.006		
			(0.918)		
Log donation to majority × Regulatory agency				0.005+	
				(0.069)	
Med. donation to maj. × Regulatory agency					0.088*
					(0.021)
Lrg. donation to maj. × Regulatory agency					−0.008
					(0.891)
Num.Obs.	343 275	343 275	343 275	343 275	343 275
R2	0.339	0.339	0.339	0.339	0.339

Figure 1 presents the marginal effect of log donation on the FRI for non-regulatory and regulatory agencies separately, with 95% confidence intervals. A point estimate above zero indicates that donations increase favoritism risk in that agency group. The figure allows direct visual comparison of the magnitude and precision of donation effects across the two agency types.

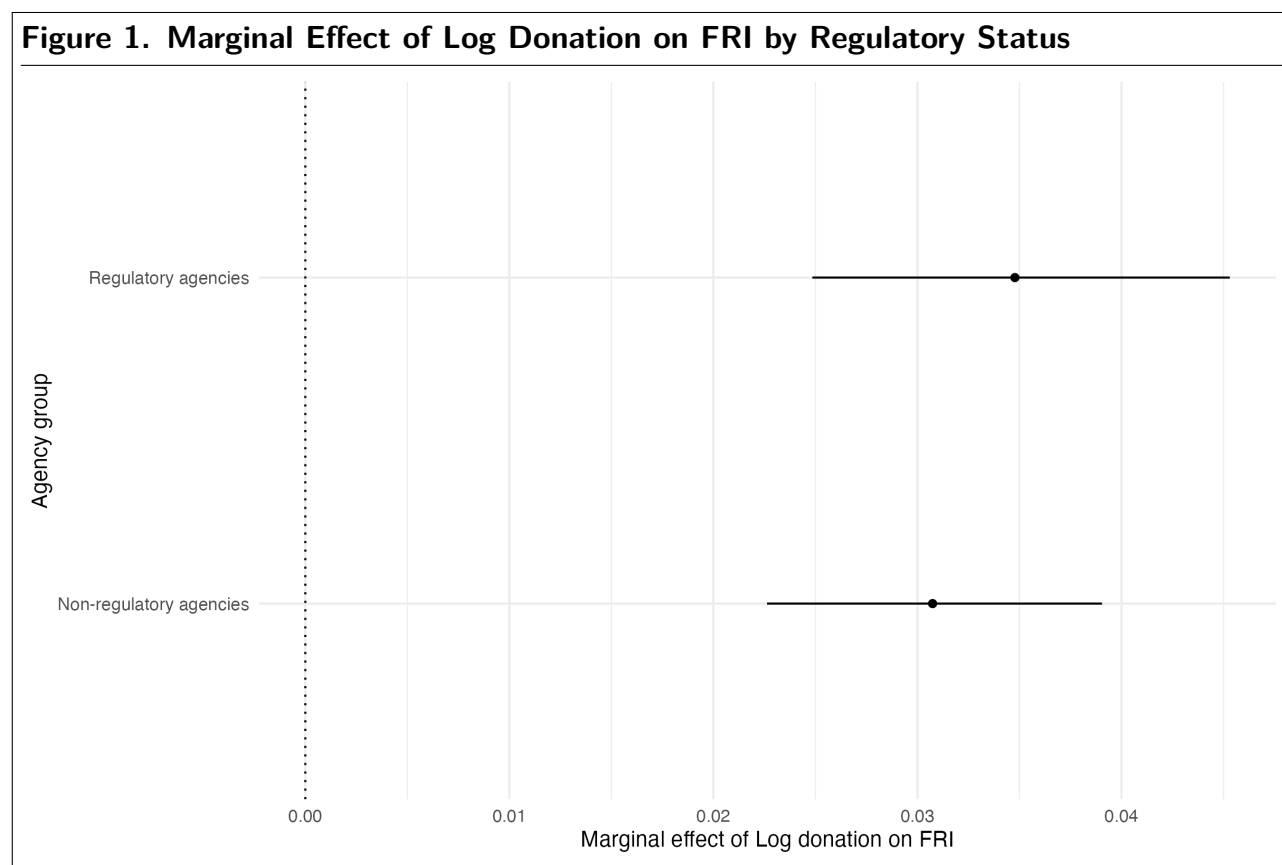


Table 3 adds presidential party as a third dimension to the interaction design. The key quantity is the triple interaction term ($\text{Donation} \times \text{Regulatory} \times \text{Democratic presidency}$), which tests whether donation-driven favoritism in regulatory agencies is further amplified when donors' preferred party controls the executive branch. A positive and significant coefficient would indicate that donation effects in regulatory agencies are stronger during Democratic administrations. The 2009 Bush-Obama transition supplies the administration change used in this comparison. The positive and statistically significant triple interactions in both the donation-dummy and log-donation specifications point in the same direction as H3: donation effects are larger in regulatory agencies when partisan control changes.

Table 3. DDD: Donation effects by regulatory status and presidency

	Favoritism Risk Index (FRI)	
	(1)	(2)
Donation dummy	0.032 (0.228)	−0.301*** (<0.001)
Log donation		0.031*** (<0.001)
Regulatory agency (final match)	−0.123 (0.132)	−0.123 (0.131)
Donation dummy x Regulatory	−0.034 (0.227)	
Donation dummy x Dem. presidency	−0.014 (0.642)	
Regulatory x Dem. presidency	−0.117+ (0.094)	−0.117+ (0.092)
Donation x Regulatory x Dem. presidency	0.125** (0.004)	
Log donation x Regulatory		−0.003 (0.231)
Log donation x Dem. presidency		0.000 (0.886)
Log donation x Regulatory x Dem. presidency		0.011* (0.011)
Num.Obs.	440 987	440 987
R2	0.317	0.318
+ $p < 0.1$, * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$		

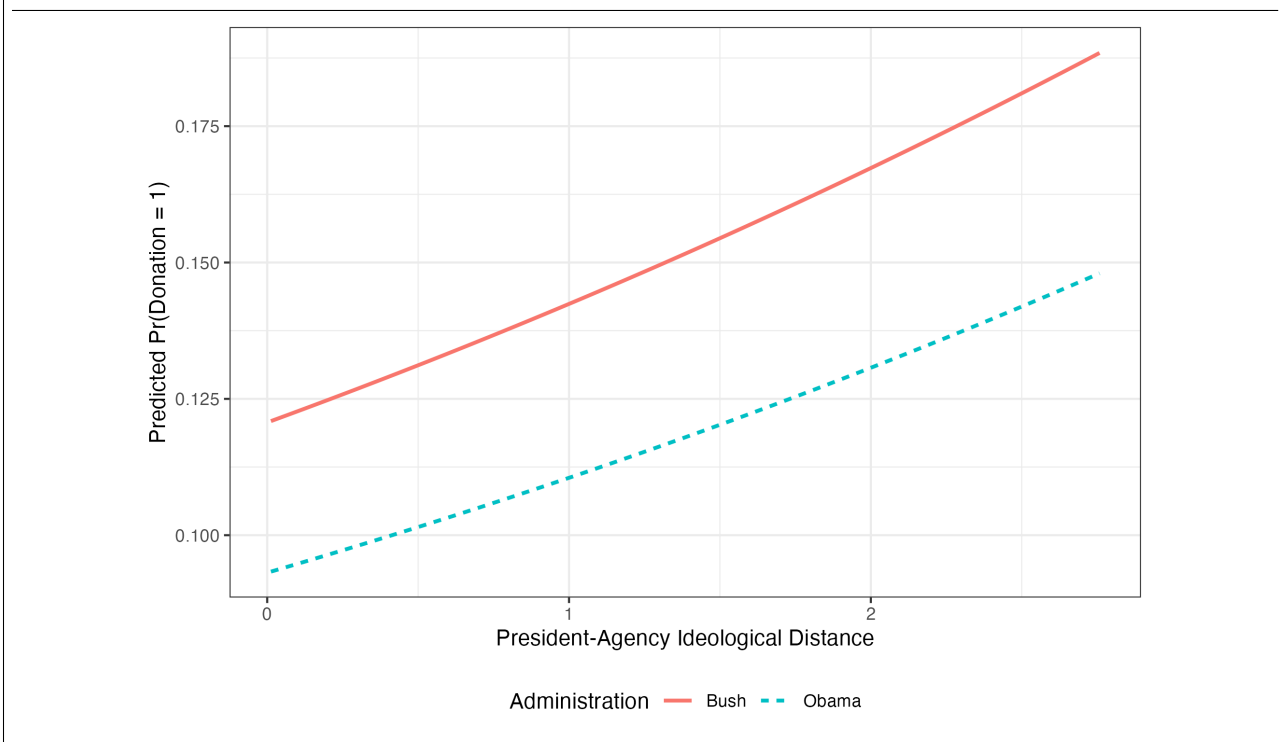
President-Agency Ideological Distance as Moderator

Table 4 reports logistic regression estimates for the binary donation probability outcome. Column (1) includes only president-agency distance as a predictor; Column (2) adds an administration fixed effect. The coefficient on distance is positive in both specifications, indicating that firms are more likely to donate when the agency's ideology is farther from the president. This result cuts against the simple proximity version of the amplification hypothesis. Appendix D also reports agency-level outcome checks in Table D3 and Figure D1, where the distance coefficient varies across donation and contracting outcomes.

Table 4. Logistic Regression of Donation Probability on Ideological Distance

	(1) No controls	(2) Admin FE
President-Agency Distance	0.097*	0.191*
	(0.035)	(0.036)
Obama (ref: Bush)		-0.290*
		(0.032)
Observations	41 338	41 338
Log Likelihood	-14 792.631	-14 752.032
* p < 0.05		
Standard errors in parentheses. Unit of analysis is the contract.		

Figure 2 translates the logistic model into predicted donation probabilities across the observed range of president-agency distance, separately for the Bush and Obama administrations. The upward-sloping curve is consistent with firms being more likely to donate as agencies become more ideologically distant from the president. The administration comparison shows whether this relationship is stable across partisan contexts.

Figure 2. Predicted Probability of Donation by President-Agency Ideological Distance

Agency Independence as Moderator

Table 5 reports the ordered logistic coefficient for president-agency distance on the four-tier agency independence scale, from most independent (indep. commission and IRC) to least independent (cabinet department). A negative $\hat{\beta}$ implies that agencies with greater ideological distance from the president tend to occupy more independent tiers, consistent with the institutional logic that structural independence reduces direct presidential alignment. The estimate is negative but statistically imprecise, so the result should be read as suggestive rather than confirmatory.

Table 5. Ordered Logistic Regression of Agency Independence Tier on Ideological Distance

	Agency Independence Tier
President-Agency Distance	-0.665 (1.164)
Observations	42
* $p < 0.05$	
Standard errors in parentheses. Outcome ordered from most independent to least independent. Cutpoints omitted.	

Table 6 re-estimates Table 5 after collapsing the data to one row per agency and replacing administration-specific distance with each agency's mean ideological distance across administrations. This specification is closer to the institutional outcome because agency independence tier is fixed at the agency level. The coefficient remains negative but is again imprecise, which suggests that the direction is stable but the available agency-level sample is too small to support a strong conclusion. Because the coefficient points in the same direction as Table 5, the cross-administration result is less likely to be only an artifact of repeated agency-administration observations. Appendix D reports related ACS-side diagnostics, including the overdispersion check in Figure D2.

Table 6. Agency-Level Ordered Logistic Regression of Independence Tier on Mean Ideological Distance

	Agency Independence Tier
Mean President-Agency Distance	-1.324 (2.611)
Observations	22
* $p < 0.05$	
Standard errors in parentheses. Outcome ordered from most independent to least independent. One row per agency.	

DISCUSSION

The results point to two findings. First, the [Fazekas et al. \(2023\)](#) finding that political donations increase federal contracting favoritism persists in the regulatory-status extension. Second, the clearest evidence is for the discretion hypothesis: regulatory agencies show a larger donation-favoritism relationship in Table 1, Table 2, and Figure 1, and the DDD specification in Table 3 points in the same direction. Evidence for the amplification hypothesis is mixed. The regulatory-status results are consistent with amplification in more discretionary environments, but Figure 2 cuts against the simple president-agency ideological proximity mechanism because firms are more likely to donate as agencies become more ideologically distant from the president. The insulation hypothesis is not supported by the main results.

Mechanisms

Why does agency ideology shape donor-linked favoritism? I present three mechanisms that help interpret the empirical findings.

A simple principal-agent framework clarifies the actors. Firms choose whether and how much to donate. Presidents value both policy implementation and coalition maintenance. Contracting officials choose how closely to scrutinize bids, how much discretion to exercise, and whether to use noncompetitive procedures. Congress sets statutory constraints and oversight rules. Agency ideology matters because it changes the perceived cost of acting on presidential coalition signals: aligned officials require less direct monitoring, while distant officials require stronger pressure or clearer statutory authority (Huber and McCarty 2004; Huber and Shipan 2002). Regulatory authority expands the set of discretionary choices available to officials, which is why the same donation signal can matter more in regulatory agencies.

Shared coalition incentives (H1). Agencies staffed by officials who share the president's coalition incentives are more likely to treat co-partisan donors as cooperative actors deserving deference, even absent explicit direction (Hollibaugh et al. 2014). This mechanism would support the amplification hypothesis: ideological proximity aligns contracting officials' preferences with the president's coalition goals, making them more responsive to political contribution signals than officials in distant agencies. This is not necessarily corruption; it may reflect a genuine belief that rewarding aligned firms serves the public interest. The FRI in Fazekas et al. (2023) captures deviations from competitive norms without adjudicating intent.

Reduced scrutiny of aligned contractors (H1, H3). Contracting officers who share the president's policy preferences may apply less rigorous oversight to firms in the president's coalition, not because they are directed to, but because they anticipate that the president would approve. Spenkuch et al. (2023) find that misaligned contracting officers produce more cost overruns, consistent with reduced effort; the mirror image is that aligned officers tolerate more favorable procedural treatment for co-partisan firms. This channel is scope-conditioned by H3: reduced scrutiny has most bite where officials hold meaningful discretion, which is why the amplification effect should concentrate in regulatory agencies

rather than agencies governed by rigid statutory contracting rules.

Appointee density as mediator (H1, H2). The amplification effect may operate partly through the channel identified by [Lewis \(2008\)](#), in which political appointees connect agencies more directly to presidential priorities and exert greater control over noncompetitive award decisions. President-agency ideal point distance may thus partly capture the appointee channel rather than ideology per se. This is relevant to H2 as well: if mission-committed career officials insulate against donor pressure, then the insulation hypothesis predicts that amplification weakens once appointee density is held constant, whereas the coalition-incentives mechanism predicts it persists. Controlling for appointee counts in future work would distinguish ideology from appointments as the operative channel.

Implications

These findings have three implications for the study of the relationship between agency ideology and contracting politics, and more broadly for the study of American political institutions.

First, they support treating agency ideology as a continuous, dynamic variable rather than only a binary structural characteristic. The [Acs \(2025\)](#) ideal points, by capturing administration-by-administration shifts in agency alignment, measure variation that the independence-tier classification cannot capture. This argues for more widespread use of dynamic ideal point measures in studies of bureaucratic behavior.

Second, they connect the regulatory productivity literature to the contracting favoritism literature for the first time. [Acs \(2025\)](#) finds that ideologically proximate agencies produce more regulatory output; this paper finds that donation-linked favoritism is more visible in regulatory agencies. The continuous distance result complicates a simple alignment story, since firms are more likely to donate as agencies become more distant from the president. This suggests that regulatory status and president-agency distance should be treated as related but distinct dimensions of agency ideology.

Third, the findings illuminate the stakes of executive branch politicization. If regulatory discretion amplifies donor favoritism in contracting, then the concentration of executive control pursued by DOGE

in 2025 (through mass appointee placements in previously insulated agencies) could expand the scope of politically influenced contracting. The effect may be largest in regulatory agencies, precisely because the discretion available in regulatory contracting is greatest (Epstein and O'halloran 1999).

Limitations

This study has several limitations. The FRI from Fazekas et al. (2023) is a proxy; it captures procedural signals of favoritism rather than directly observed arrangements. The president-agency distance measure from Acs (2025) is estimated with uncertainty not propagated through the main regressions. The sample period (2004–2015) spans only two presidential transitions, limiting statistical power. The analysis also focuses on the average effect across all firms and agencies; heterogeneity by firm size, industry, or agency function may be important. Finally, the mechanisms are inferred rather than directly tested; more granular data on contracting officers and their ideological positions would help clarify the causal chain. Future work should separate regulatory status from president-agency ideological distance more explicitly, since these measures capture different dimensions of agency ideology.

CONCLUSION

Federal contracting is systematically influenced by political donations, but the influence is not uniform. This paper provides evidence that agency ideology moderates how strongly political contributions translate into favorable contracting outcomes. The clearest evidence supports the discretion hypothesis: donation effects are larger in regulatory agencies, where officials have more rulemaking and contracting discretion. Evidence for the amplification hypothesis is partial. Regulatory-status models support it, but the continuous president-agency distance model shows that firms are more likely to donate as agencies become more ideologically distant from the president. The insulation hypothesis is not supported in the main results.

The extension contributes to the literature on agency ideology and federal contracting in three ways. It uses the continuous, dynamic ideal point estimates of Acs (2025) as a moderator of partisan favoritism in contracting, complementing the agency independence four-tier classification of Fazekas

et al. (2023) with a more dynamic measure of ideological alignment. It connects two parallel literatures, regulatory productivity and contracting politics, under a single framework. Furthermore, I provide new evidence bearing on the consequences of executive branch politicization, a question of immediate policy relevance under the DOGE reorganization. The findings suggest that the politics of federal contracting is shaped not just by formal institutional structure, but by the specific dimension of agency ideology being measured. This has important implications for understanding the mechanisms through which agency ideology shapes contracting outcomes and for evaluating the consequences of recent government reforms that systematically reshape agency ideology.

What remains uncertain is the precise causal mechanism. The regulatory-status result is consistent with shared coalition incentives, reduced scrutiny, and appointee-density mediation; distinguishing among these requires richer datasets on contracting officers and their ideological or demographic characteristics. Future work should use plausibly exogenous shocks, such as executive order changes or presidential transitions, to address endogeneity concerns. It should also examine racial and ethnic diversity within agencies and develop sharper measures of agency discretion in contracting decisions. The scope of the analysis is limited to the 2004–2015 period; whether the same patterns hold under the more aggressive executive control strategies of the post-2017 and 2025 administrations is an important question for future research.

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APPENDIX

A. Summary of Replication

The replication proceeds in two stages. First, I reproduce the [Acs \(2025\)](#) agency ideal point estimates. Second, I replicate the core contracting results in [Fazekas et al. \(2023\)](#). The full results are presented in Appendices B and C; this section describes the original designs and the data.

Replication 1: Agency Ideal Points (Acs 2025) [Acs \(2025\)](#) estimates agency ideal points using a two-parameter IRT model applied to the Unified Agenda of Federal Regulatory and Deregulatory Actions. The Unified Agenda, published twice yearly, lists all planned regulatory actions across the federal government. OIRA exercises discretionary review authority over economically significant rules. The key observable is whether OIRA, which acts as a proxy for the president's ideological preferences, chooses to review a given proposed rule.

The IRT model treats each planned regulation as an “item” and each presidential administration as a “respondent.” The probability that a regulation receives OIRA review is modeled as a function of the distance between the agency's ideal point and the administration's ideal point (proxied by the president's NOMINATE score). Agencies with ideal points far from the current president generate more OIRA reviews, because their proposals are more likely to conflict with presidential preferences. The model is estimated separately for each administration, then linked to a common NOMINATE scale using the president's NOMINATE score as an anchor.

The resulting estimates cover the Clinton through the Trump administrations and include all major federal regulatory agencies. [Acs \(2025\)](#) validates the estimates against [Clinton and Lewis \(2008\)](#) expert surveys and [Bertelli and Grose \(2011\)](#) congressional hearing-based measures, finding positive correlations. The author also documents that regulatory output, rules finalized per agency per year, is higher for agencies with smaller president-agency ideal point distance, which supports the productivity mechanism.

I replicate this analysis using the replication data provided by the author, reproducing the main ideal point estimates and the regulatory productivity regression.

Replication 2: Agency Independence and Contracting Favoritism (Fazekas et al. 2023) Fazekas et al. (2023) construct favoritism risk indices from federal procurement data and test how these risks vary with firms' political contributions and agency independence. The authors use an extensive review of the literature to select indicators that have been used to measure favoritism in public procurement; the favoritism risk indices are constructed by combining seven indicators into a composite index (CRI7_final) that captures the overall risk of favoritism in federal contracts (Fazekas et al. 2023): (1) Single bidding, (2) No publication, (3) Non-competitive procedure type, (4) Non-open solicitation type, (5) Contract modifications, (6) Supplier tax haven registration, and (7) Supplier debarred.

Transactional-level federal contract data is collected from [USAspending.gov](https://www.usaspending.gov), and campaign contribution data come from the DIME database (Bonica 2016), which records all registered federal contributions. The unit of analysis is the procurement contract (transaction level). I replicate one of the main hypotheses, hypothesis 3, which tests whether political donations increase favoritism more in less independent agencies.

The equation for hypothesis 3 of Fazekas et al. (2023) is:

$$\text{FRI}_{iat} = \beta_1 D_{it} + \beta_2 (D_{it} \times \text{Independence}_a) + \mathbf{X}'_{iat} \gamma + \mu_f + \mu_p + \mu_s + \mu_c + \varepsilon_{iat} \quad (4)$$

where D_{it} is the donation variable (binary `isDonation` or `log logDonation`), i indexes firms, a agencies, and t congressional terms. μ_f , μ_p , μ_s , and μ_c are firm, product category, state, and congressional term fixed effects; standard errors are clustered at the firm and congressional term levels (Fazekas et al. 2023). Independence_a is a two-category indicator distinguishing cabinet and executive-department agencies from independent agencies (Dahlström et al. 2021). The interaction $\beta_2 > 0$ indicates that donations have larger effects in less independent (cabinet) agencies.

I replicate the main fixed effects specifications with agency independence variables.

Replication Results The replication of Acs (2025) reproduces ideal point estimates for 69 agencies covering four administrations, Clinton through Trump. Most agencies cluster near zero across all four periods; a small subset of seven agencies exhibits substantial conservative shifts concentrated

in the Trump administration. The regulatory productivity result replicates: agencies with smaller president-agency distance produce more regulatory output ($\hat{\beta} = -0.218$, $SE = 0.054$, $p < 0.05$), consistent with [Acs \(2025\)](#) Table 2.

The replication of [Fazekas et al. \(2023\)](#) reproduces the core finding: the donation effect on the FRI is 0.131 points larger in cabinet agencies than in independent agencies ($p = 0.006$), equivalent to roughly 0.12 standard deviations ($SD_{FRI} = 1.079$). The base effect for independent agencies is not significant at the 5 percent level ($\hat{\beta} = -0.079$, $p = 0.051$). The interaction with independence tier replicates in sign and significance. Full results appear below.

B. Replication of Acs (2025)

Replication Setup

Original Paper: ACS, A. (2025). Mapping the Political Contours of the Regulatory State: Dynamic Estimates of Agency Ideal Points. *American Political Science Review*, 1–18.

Replication Data: [R replication codes and dataset](#) from [Acs \(2025\)](#) “Mapping the Political Contours of the Regulatory State: Dynamic Estimates of Agency Ideal Points (APSR).”

Extension Paper: Fazekas, M., Ferrali, R., & Wachs, J. (2023). Agency Independence, Campaign Contributions, and Favoritism in US Federal Government Contracting. *Journal of Public Administration Research and Theory*, 33(2), 262–278.

Extension Replication Data: [R replication codes and dataset](#) from [Fazekas et al. \(2023\)](#) “Agency Independence, Campaign Contributions, and Favoritism in US Federal Government Contracting (JPART).”

[Acs \(2025\)](#) investigates the political ideology of US federal regulatory agencies by estimating dynamic ideal points for 69 administrative units across four presidential administrations (Clinton to Trump). The study uses data from the Unified Agenda on planned regulations and the president’s discretionary review of those regulations from the Office of Information and Regulatory Affairs (OIRA) docket. By analyzing the ideological positions of regulatory agencies over time, the paper provides insights into

how agency ideology shapes regulatory behavior and how it interacts with political dynamics. The core contribution of the paper is to offer a comprehensive mapping of the political contours of the regulatory state, shedding light on the ideological underpinnings of regulatory activity and its implications for policy outcomes.

I extend the analysis by examining how agency ideology moderates the effects of political party contributions on favoritism in federal contracting, using the dynamic ideal point estimates from [Acs \(2025\)](#). Merging this agency ideology data with [Fazekas et al. \(2023\)](#) allows a direct test of whether ideological alignment between the president and an agency amplifies the returns to political contributions in contracting.

Data. In [Acs \(2025\)](#), the author uses publicly available datasets: (1) Unified Agenda data, which includes information on the regulations that federal agencies plan to implement, including their content, timing, and regulatory impact (a semi-annual catalog, indicating pending or completed); (2) the OIRA docket, which lists the regulations reviewed, including the agency responsible, date of review, and outcome of review; and (3) Federal Register data, containing the official publication of federal regulations. [Acs \(2025\)](#) uses the eight-digit regulation identifier number (the RIN) to merge the Unified Agenda data with the OIRA docket data. The analysis focuses on 69 administrative units from 2001 to 2020, covering four presidential administrations. The author excludes regulatory agencies that did not issue a regulation in each administration or issued fewer than 40 regulations during the entire period.

Variables. The dependent variable for the dynamic measurement model is Review (Y_i), a binary indicator for whether a planned rule was reviewed by OIRA. The dependent variable for the regulatory productivity model is Regulatory Activity, measured using Federal Register final-rule page length averaged per year within administration. The key independent variable is President-Agency ideological distance, $|X_p - X_{at}|$, where X_p is the president's fixed ideal point (DW-NOMINATE anchors) and X_{at} is the agency ideal point in administration t . Model components include rule significance (S_i , a binary indicator from Unified Agenda priority categories), agency intercepts (a_a), and a dynamic structure where agency ideal points evolve via a random walk across administrations.

Models. For this replication, I focus on its *Model 2 (Regulatory Productivity)*, which uses a negative

binomial model to examine the relationship between President-Agency ideological distance and regulatory output:

$$\text{Regulatory Activity}_{at} \sim \text{NegBin}(\mu_{at}, \theta),$$

$$\ln(\mu_{at}) = \pi_a + \beta \cdot \text{PresidentAgencyDistance}_{at} \quad (5)$$

The paper tests three hypotheses: *H1* (OIRA review probability increases as ideological distance between the president and an agency increases); *H2* (agency ideology is not static; agency ideal points shift across presidential administrations); and *H3* (regulatory productivity is lower when President-Agency ideological distance is larger).

Replication Results

Figure B1. Conservative Trends in Agency Ideal Points

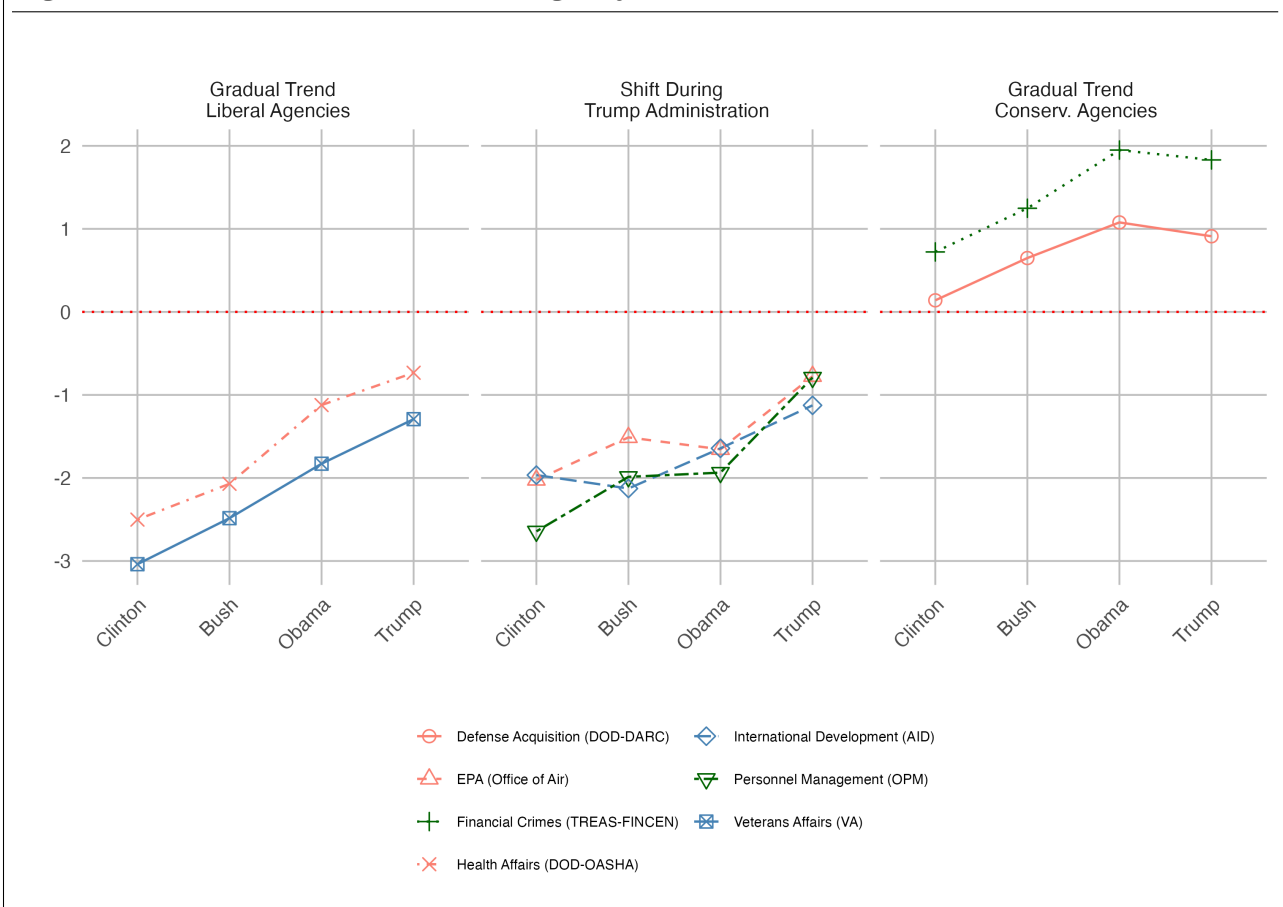


Figure B1 replicates the original pattern that several agencies shift in a conservative direction over administrations, with the largest movement concentrated in a small subset of agencies. This visual replication is consistent with Figure 4 of Acs (2025).

Table B1. Agencies with Largest Shifts in the Conservative Direction

Agency	Ideal Points		Plausible Driver of Change
	Min	Max	
Personnel Management (OPM)	-2.64	-0.79	<i>Politicization:</i> Trump administration
EPA's Office of Air (EPA-AIR)	-2.02	-0.78	Trump administration
Agency for Intl. Development (USAID)	-2.13	-1.13	Trump administration
Veterans Affairs (VA)	-3.04	-1.29	<i>New policy conflict:</i> VA MISSION Act of 2018, wars
Defense Acquisition (DOD-DARC)	0.14	1.08	Iraq/Afghan wars
Financial Crimes (TREAS-FINCEN)	0.72	1.95	Patriot Act of 2001, civil liberties
Health Affairs, Def. (DOD-OASHA)	-2.50	-0.73	Iraq/Afghan wars

Table B1 reproduces the agency-level minima and maxima from the Figure 4 subset and highlights the same conservative movers identified in the original paper. The ordering and substantive interpretation follow the original table.

Table B2. Ideological Distance and Regulatory Productivity (Negative Binomial)

	Dependent variable: Regulatory activity (final rule page length)				
	(1)	(2)	(3)	(4)	(5)
	Formal	Formal significant	Formal significant regulatory	Formal (excl. OIRA)	Formal regulatory (excl. OIRA)
Pres.–Agency Distance	−0.048 (0.036)	−0.186* (0.049)	−0.218* (0.054)	−0.152* (0.036)	−0.218* (0.038)
Agency Fixed Effects	✓	✓	✓	✓	✓
Observations	276	276	276	276	276
* $p < 0.05$. Standard errors in parentheses. Models 4-5 exclude rules reviewed by OIRA at the proposed rule stage. Models 3 and 5 also exclude deregulatory rules. Weights equal to the inverse variance of each agency ideal point are included.					

Table B2 replicates the negative-binomial validation result: larger President-Agency ideological distance is associated with lower regulatory productivity across outcome definitions. The sign and substantive magnitude patterns are aligned with the original paper.

Table B3. Agency Names and Ideal Point Estimates

agency id	clinton sig mean	clinton review mean	clinton n	bush43 sig mean	bush43 review mean	bush43 n	obama sig mean	obama review mean	obama n	trump sig mean	trump review mean	trump n
AG-AMS	0.229	0.200	35	0.125	0.125	64	0.286	0.167	42	0.222	0.222	18
AG-APHIS	0.826	0.783	46	0.676	0.648	71	0.394	0.394	66	0.150	0.150	20
AG-FNS	0.586	0.586	58	0.857	0.821	28	0.390	0.439	41	0.692	0.769	13
AG-FS	0.217	0.304	23	0.500	0.412	34	0.375	0.375	16	0.625	0.500	8
AG-FSIS	0.543	0.478	46	0.375	0.250	24	0.458	0.458	24	0.176	0.176	17
AG-GIPSA	0.348	0.348	23	0.059	0.059	17	0.364	0.364	11	1.000	1.000	1
AG-RHS	0.450	0.450	20	0.154	0.154	13	0.167	0.083	12	0.000	0.000	9
AG-RUS	0.194	0.226	31	0.174	0.130	23	0.083	0.083	12	0.000	0.000	1
AID	0.167	0.333	6	0.667	0.889	9	0.625	0.500	16	0.444	0.444	9
COM-BEA	0.000	0.000	13	0.000	0.080	25	0.000	0.000	12	0.000	0.200	5
COM-BIS	0.800	0.800	5	0.400	0.300	20	0.721	0.744	43	0.750	0.750	8
COM-ITA	0.143	0.143	7	0.200	0.200	15	0.118	0.059	17	1.000	1.000	4
COM-NOAA	0.060	0.101	398	0.125	0.133	534	0.061	0.051	528	0.067	0.067	252
COM-PTO	0.050	0.150	20	0.289	0.316	38	0.654	0.692	26	0.214	0.357	14
DHS-USCBP	0.667	0.000	3	0.565	0.391	23	0.357	0.357	14	0.273	0.182	11
DHS-USCG	0.267	0.000	15	0.315	0.185	54	0.143	0.125	56	0.111	0.111	18
DHS-USCIS	1.000	0.000	8	1.000	0.700	30	1.000	1.000	10	0.889	0.722	18
DOD-DARC	0.022	0.022	90	0.050	0.050	141	0.280	0.318	132	0.202	0.112	89
DOD-DODOASHA	0.036	0.393	28	0.484	0.839	31	0.212	0.182	33	0.125	0.125	8
DOE-EE	0.444	0.250	36	0.406	0.375	32	0.361	0.340	147	0.316	0.368	38
DOI-BIA	0.239	0.109	46	0.136	0.364	22	0.231	0.231	13	0.000	0.000	7
DOI-BLM	0.206	0.206	34	0.235	0.235	17	0.462	0.615	13	0.500	0.625	8
DOI-FWS	0.077	0.181	310	0.406	0.206	310	0.091	0.103	331	0.100	0.100	120
DOI-MMS	0.157	0.255	51	0.178	0.178	45	0.545	0.273	11	1.000	1.000	1
DOI-NPS	0.222	0.361	36	0.286	0.306	49	0.139	0.139	36	0.188	0.250	16
DOJ-BOP	0.125	0.031	32	0.750	0.700	20	0.533	0.467	15	0.333	0.333	3
DOJ-DEA	0.250	0.333	24	0.710	0.871	31	0.727	0.727	11	0.800	0.600	10
DOJ-EOIR	0.222	0.111	9	0.400	0.800	15	0.600	0.600	5	1.000	0.727	11
DOJ-LA	0.400	0.450	20	0.850	0.600	20	0.500	0.417	12	0.800	0.800	5
DOL-EBSA	0.588	0.647	17	0.850	0.900	20	0.964	0.857	28	1.000	0.833	12
DOL-ETA	1.000	1.000	9	1.000	0.889	18	1.000	0.917	12	1.000	1.000	8
DOL-MSHA	0.583	0.417	12	0.947	0.842	19	1.000	1.000	8	0.667	0.667	3
DOL-OSHA	0.773	0.273	22	0.722	0.833	18	0.435	0.304	23	0.889	0.889	9
DOL-PBGC	0.312	0.188	16	0.714	0.643	14	0.308	0.385	13	0.000	0.000	4
DOT-FAA	0.422	0.296	135	0.308	0.240	104	0.267	0.280	75	0.304	0.261	23
DOT-FHWA	0.308	0.231	78	0.289	0.289	38	0.419	0.387	31	0.417	0.250	12
DOT-FMCSA	0.611	0.139	36	0.632	0.632	19	0.464	0.393	28	0.200	0.240	25
DOT-FRA	0.652	0.478	23	0.348	0.261	23	0.342	0.316	38	0.250	0.250	16
DOT-FTA	0.389	0.167	18	0.375	0.188	16	0.500	0.450	20	0.333	0.000	3
DOT-NHTSA	0.107	0.114	140	0.228	0.228	101	0.304	0.261	69	0.267	0.333	15
DOT-OST	0.255	0.218	55	0.293	0.317	41	0.375	0.417	24	0.417	0.417	12
DOT-PHMSA	0.222	0.159	63	0.280	0.240	50	0.327	0.269	52	0.500	0.500	10
ED-OESE	0.800	0.600	5	0.889	0.889	9	0.727	0.818	22	0.000	0.000	4
ED-OPE	0.679	0.464	28	1.000	1.000	5	0.955	0.955	22	1.000	0.818	11
EPA-AR	0.361	0.354	291	0.374	0.505	281	0.525	0.506	263	0.382	0.382	123
EPA-OPPTS	0.591	0.455	44	0.333	0.381	21	0.558	0.538	52	0.500	0.607	28
EPA-SWER	0.650	0.567	60	0.771	0.686	35	0.484	0.484	31	0.882	0.765	17
EPA-WATER	0.412	0.425	80	0.362	0.468	47	0.488	0.488	41	0.706	0.647	17
FAR	0.171	0.238	181	0.124	0.114	105	0.621	0.589	95	0.317	0.366	41
GSA	0.323	0.355	62	0.125	0.083	48	0.171	0.122	41	0.667	0.533	15
HHS-ACF	0.548	0.714	42	0.833	1.000	18	0.929	0.857	14	0.857	1.000	7
HHS-CMS	0.718	0.825	103	0.897	0.960	174	0.985	0.923	196	0.978	0.944	90
HHS-FDA	0.620	0.479	121	0.726	0.500	62	0.618	0.500	68	0.500	0.525	40
HUD-OH	0.548	0.595	42	0.821	0.821	56	0.440	0.460	50	0.625	0.625	8
HUD-PIH	0.949	0.846	39	0.867	0.833	30	0.706	0.588	17	1.000	1.000	5
NARA	0.389	0.389	18	0.194	0.258	31	0.625	0.562	16	0.333	0.333	3
NASA	0.111	0.111	9	0.059	0.059	17	0.364	0.182	33	0.333	0.333	6
NCUA	0.000	0.000	31	0.014	0.000	72	0.046	0.000	65	0.000	0.000	38
OPM	0.136	0.544	103	0.558	0.865	104	0.528	0.613	106	0.684	0.447	38
RRB	0.097	0.097	31	0.385	0.385	13	0.200	0.000	5	0.000	0.000	2
SBA	0.627	0.520	75	0.784	0.745	51	0.614	0.649	57	0.385	0.269	26
SSA	0.439	0.316	57	0.775	0.800	80	0.895	0.684	38	0.800	0.700	10
STATE	0.111	0.333	9	0.405	0.514	37	0.776	0.690	58	0.857	0.857	21
TREAS-CUSTOMS	0.015	0.000	66	0.000	0.000	22	0.278	0.222	18	0.714	0.571	7
TREAS-DO	0.167	0.000	12	0.275	0.250	40	0.571	0.571	21	0.400	0.100	10
TREAS-FINCEN	0.000	0.000	11	0.062	0.031	32	0.630	0.593	27	0.750	0.250	4
TREAS-OCC	0.023	0.047	43	0.278	0.083	36	0.256	0.070	43	0.179	0.000	39
TREAS-TTB	0.000	0.000	7	0.055	0.018	55	0.050	0.050	20	0.500	0.500	2
VA	0.228	0.596	114	0.580	0.902	112	0.409	0.299	127	0.343	0.388	67

Table B3 reproduces the appendix-style agency-by-administration summaries of significance rates, review rates, and counts. These summaries support the data pipeline used to estimate the main replication models.

C. Replication of Fazekas et al. (2023)

Replication Setup

Original Paper: Fazekas, M., Ferrali, R., & Wachs, J. (2023). Agency Independence, Campaign Contributions, and Favoritism in US Federal Government Contracting. *Journal of Public Administration Research and Theory*, 33(2), 262–278.

Replication Data: [R replication codes and dataset](#) from [Fazekas et al. \(2023\)](#) “Agency Independence, Campaign Contributions, and Favoritism in US Federal Government Contracting (JPART).”

Extension Paper: ACS, A. (2025). Mapping the Political Contours of the Regulatory State: Dynamic Estimates of Agency Ideal Points. *American Political Science Review*, 1–18.

Extension Replication Data: [R replication codes and ACS dataset](#) from [Acs \(2025\)](#) “Mapping the Political Contours of the Regulatory State: Dynamic Estimates of Agency Ideal Points (APSR).”

[Fazekas et al. \(2023\)](#) argue that companies’ political party contributions can bias the award of US federal government contracts, favoring firms that make political donations. The paper investigates the relationship between political party contributions and favoritism in US federal government contracting. The authors examine whether firms that make political donations are more likely to receive favorable treatment in federal procurement, and how this relationship is moderated by the level of agency independence. The study uses a comprehensive dataset of federal contracts, political donations, and agency characteristics to analyze patterns of favoritism and the influence of political contributions on contract awards. The authors find that firms that make political donations are more likely to receive favorable treatment in federal contracting, and this effect is stronger for firms that donate to the party in power. Additionally, the relationship between political contributions and favoritism is moderated by agency independence, with less independent agencies showing a stronger relationship between

donations and favoritism.

I extend the analysis with additional robustness checks by examining how agency ideology moderates the effects of political party contributions on favoritism in federal contracting, following dynamic estimates of regulatory agency ideal points in [Acs \(2025\)](#). His measure consists of dynamic estimates of regulatory agency ideal points across four different presidential administrations (from Clinton to Trump), for 69 administrative units. The data is based on Unified Agenda data on planned regulations and the president's discretionary review from the OIRA docket, which captures the ideological positions of regulatory agencies over time. By merging this agency ideology data with [Fazekas et al. \(2023\)](#)'s dataset, I analyze how the alignment between agency ideology and the party in power affects the relationship between political contributions and favoritism in federal contracting.

Data. In [Fazekas et al. \(2023\)](#), the authors use: (1) transaction-level federal contract data from USAspending.gov; (2) registered campaign contributions for 2004–15 from the Database on Ideology, Money in Politics, and Elections (DIME) ([Bonica 2016](#)); and (3) a Favoritism Risk Indicator (FRI) combining seven indicators selected from the literature: single bidding, no publication, non-competitive procedure type, non-open solicitation type, contract modifications, supplier tax haven registration, and supplier debarred.

Variables. The dependent variables are `logValue` (logarithm of total contract value) and `CRI7_final` (composite FRI, the average of the seven favoritism indicators). The key independent variables are `isDonation` (binary donation indicator) and `logDonation` (log of total donations). The moderating variable is `agency_cat`, categorizing agencies into four independence tiers: executive departments not separate bureaus, executive departments with distinct bureaus, independent administrations, and independent commissions and regulatory commissions ([Dahlström et al. 2021](#)). Models include product category, state, contracting agency, and congressional term fixed effects.

Models. The primary empirical models examine how the effect of political donations on `CRI7_final` varies across agency types, using a two-way fixed-effects specification (`felm()`) with product, state, contracting office, and congressional term fixed effects. Standard errors are clustered at the supplier and congressional term levels. The main variable of interest is the interaction between `isDonation`

and `agency_cat`, which captures how the relationship between political donations and favoritism risk varies across different types of federal agencies.

Hypothesis 3 holds that donations increase favoritism more in less independent agencies. I test this by interacting donation variables with `agency_cat`, a two-category indicator of agency independence. The table showing interaction models and the figure showing marginal effects by the four-category indicator (`agency_cat2`) are presented below.

The paper tests three hypotheses: *H1* (donating to any political party increases a company's chance of being favored in federal contracting); *H2* (donating to the party in power increases favoritism more than donating to the opposition); and *H3* (donating to the party in power increases favoritism especially when agency independence is low).

Replication Results

Figure C1. Density of Donations to Majority and Opposition

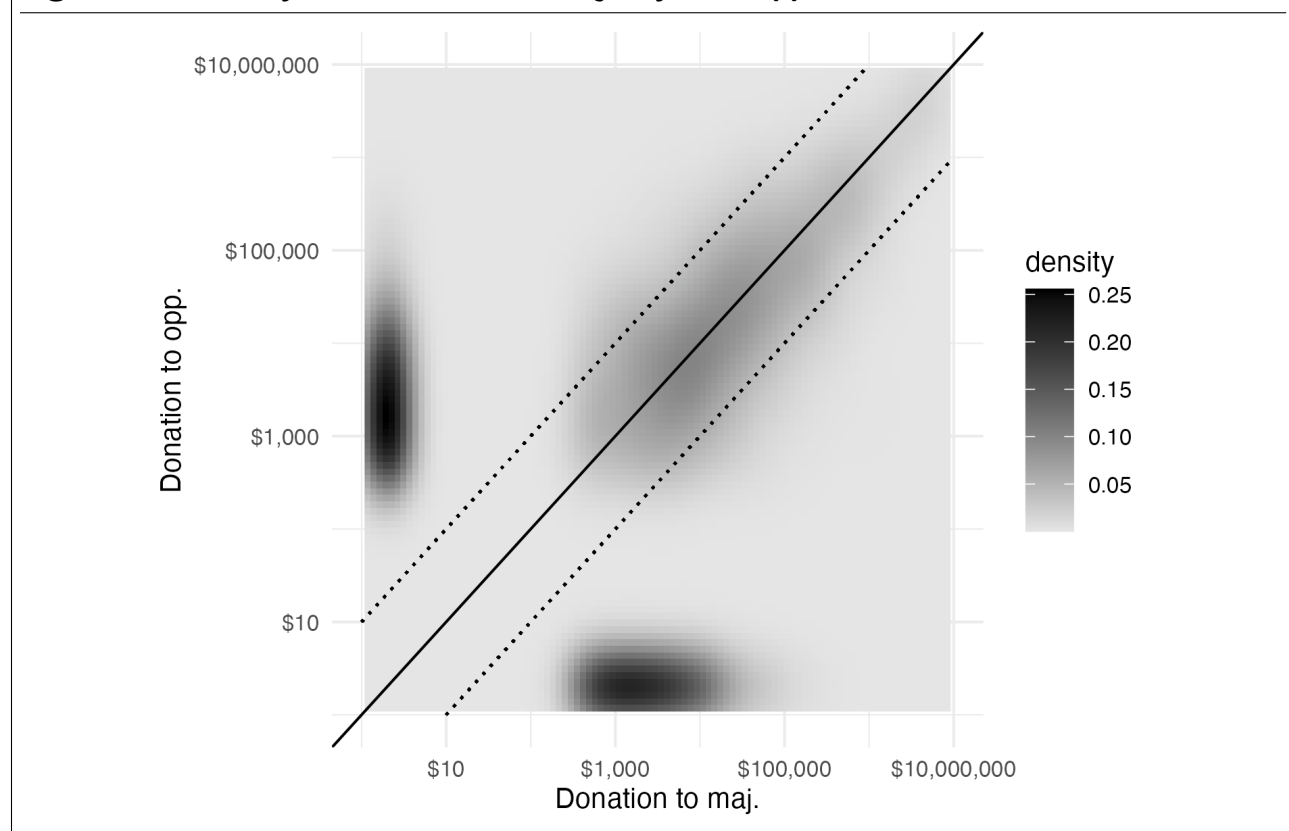


Figure C1 plots majority-party donations against opposition-party donations for each firm-term observation. The replication looks the same as Figure 3 in the original paper. The mass of observations falls above the diagonal, indicating that most donating firms concentrate contributions toward the majority party rather than hedging across parties. The gradient darkens sharply near the majority-dominant region, consistent with Hypothesis 2 that firms strategically target the party best positioned to affect contracting outcomes.

Table C1. Interaction Effects Between Agency Politicization and Donations on FRI (Hypothesis 3)

	Favouritism Risk Index (FRI)				
	(1)	(2)	(3)	(4)	(5)
Donation dummy	−0.079 (0.051)	−0.297 (<0.001)		−0.099 (0.010)	
Donation dummy × Cabinet/Exec. dep.	0.131 (0.006)				
Log donation		0.020 (0.007)			
Log donation × Cabinet/Exec. dep.		0.013 (0.007)			
Log donation to majority				0.001 (0.827)	
Log donation to majority × Cabinet/Exec. dep.				0.016 (0.005)	
Med. donation			−0.080 (0.076)		
Lrg. donation			0.039 (0.767)		
Med. donation × Cabinet/Exec. dep.			0.156 (0.005)		
Lrg. donation × Cabinet/Exec. dep.			0.250 (0.134)		
Intermediate donation to majority					−0.094 (0.061)
Large donation to majority					−0.022 (0.859)
Med. donation to maj. × Cabinet/Exec. dep.					0.134 (0.010)
Lrg. donation to maj. × Cabinet/Exec. dep.					0.324 (0.056)
Cabinet/Exec. dep.	−0.120 (0.111)	−0.122 (0.106)	−0.116 (0.121)	−0.122 (0.105)	−0.119 (0.115)
Log contract value	−0.070 (<0.001)	−0.071 (<0.001)	−0.071 (<0.001)	−0.070 (<0.001)	−0.071 (<0.001)
GSA-run procurement	−0.421 (0.145)	−0.418 (0.147)	−0.418 (0.147)	−0.419 (0.146)	−0.419 (0.146)
Commercial item	−0.006 (0.796)	−0.006 (0.796)	−0.006 (0.817)	−0.007 (0.787)	−0.006 (0.813)
Fixed-price contract	0.181 (0.112)	0.179 (0.112)	0.179 (0.112)	0.180 (0.111)	0.179 (0.112)
Cost-plus contract	0.134 (0.269)	0.130 (0.277)	0.130 (0.276)	0.132 (0.270)	0.132 (0.270)
Num.Obs.	427 748	427 748	427 748	427 748	427 748
R2	0.316	0.317	0.317	0.317	0.317

Table C1 tests Hypothesis 3 by interacting `isDonation` and `logDonation` with `agency_cat`. The coefficients and clustered p-values are the same as in Table 4 of the original paper. The interaction coefficients are positive and statistically significant for cabinet-level agencies and their bureaus. The results indicate that the effect of donations on `CRI7_final` is substantially larger in agencies with less formal independence from presidential control. For independent commissions and IRCs, the base effect and interaction terms are smaller and often statistically indistinguishable from zero. The gradient in effect sizes across the models supports the theoretical prediction that partisan influence over agency appointments amplifies the returns to political contributions.

Table C2. Replication Table A13: Interaction Effects with Lagged Revenue

	Favouritism Risk Index (FRI)				
	(1)	(2)	(3)	(4)	(5)
Donation dummy	−0.137 (0.022)	−0.199 (0.006)		−0.093 (0.025)	
Donation dummy × Cabinet/Exec. dep.	0.124 (0.020)				
Log donation		0.005 (0.354)			
Log donation × Cabinet/Exec. dep.		0.013 (0.015)			
Log donation to majority				−0.007 (0.243)	
Log donation to majority × Cabinet/Exec. dep.				0.016 (0.012)	
Med. donation			−0.150 (0.019)		
Lrg. donation			−0.086 (0.547)		
Med. donation × Cabinet/Exec. dep.			0.154 (0.012)		
Lrg. donation × Cabinet/Exec. dep.			0.209 (0.215)		
Intermediate donation to majority					−0.158 (0.024)
Large donation to majority					−0.134 (0.364)
Med. donation to maj. × Cabinet/Exec. dep.					0.142 (0.017)
Lrg. donation to maj. × Cabinet/Exec. dep.					0.268 (0.128)
Cabinet/Exec. dep.	−0.137 (0.134)	−0.139 (0.128)	−0.134 (0.143)	−0.140 (0.125)	−0.138 (0.132)
Log contract value	−0.078 (<0.001)	−0.077 (<0.001)	−0.077 (<0.001)	−0.077 (<0.001)	−0.077 (<0.001)
GSA-run procurement	−0.547 (0.085)	−0.547 (0.085)	−0.547 (0.085)	−0.547 (0.084)	−0.548 (0.084)
Commercial item	0.005 (0.827)	0.004 (0.851)	0.005 (0.831)	0.004 (0.853)	0.005 (0.832)
Fixed-price contract	0.207 (0.108)	0.206 (0.108)	0.206 (0.108)	0.207 (0.108)	0.206 (0.108)
Cost-plus contract	0.144 (0.289)	0.142 (0.291)	0.142 (0.290)	0.143 (0.288)	0.143 (0.288)
Log(revenue _{<i>t</i>−1})	0.031 (<0.001)	0.028 (<0.001)	0.028 (<0.001)	0.029 (<0.001)	0.029 (0.001)
Num.Obs.	332 756	332 756	332 756	332 756	332 756
R2	0.339	0.339	0.339	0.339	0.339

Table C2 reproduces the previous replication table with lagged firm revenue added as a control. The authors provide this table in their appendix for robustness checks, and the replication looks the same as the authors produce. The interaction patterns are substantively unchanged and the key interaction coefficients remain significant for cabinet-level agencies. This reduces concern that past firm size drives both donation capacity and contracting success.

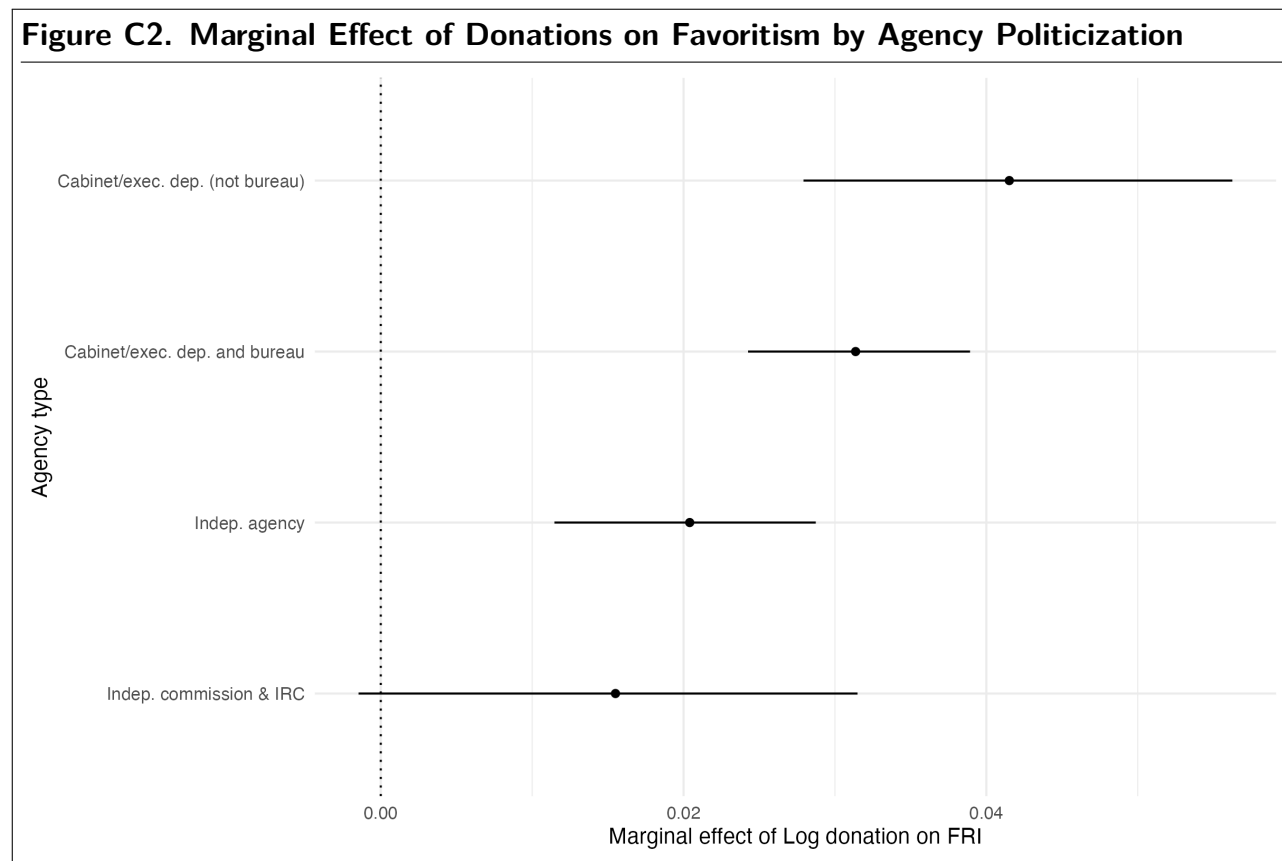


Figure C2 plots the marginal effect of `logDonation` on `CRI7_final` by the four-category agency type (`agency_cat2`), with 95% confidence intervals. The point estimates are positive and the confidence intervals exclude zero for both cabinet department categories. For independent agencies and independent commissions the estimates are near zero and statistically indistinguishable from it. The figure looks the same as Figure 4 in the original paper, and the results support the conclusion that donations have a stronger effect on favoritism risk in agencies with less formal insulation from presidential control, which is implied by Hypothesis 3.

D. Robustness Checks

Acs (2025) Extension

The [Acs \(2025\)](#) validation model uses regulatory activity (final-rule page length) as the dependent variable to measure agency productivity. For this extension, I shift the dependent variable to agency outcomes from [Fazekas et al. \(2023\)](#), specifically donation and contracting outcomes, while retaining the ACS ideological distance measure as the main explanatory variable. This examines whether president-agency ideological alignment is associated with *who receives contracts* and *how politically active those contractors are*, not only with how many pages of rules are produced.

This extension keeps the ACS measure of president-agency ideological distance but changes the outcome from rule production to contracting outcomes. The formal ACS regulatory-productivity model is reproduced in Equation 5 in the Acs replication section above. In the main extension models, I also add ACS-side controls for rule volume, significant rules, and review rates (`n_rules`, `n_sig_rules`, `review_rate`) so the estimated relationship is less likely to reflect simple differences in regulatory workload.

Extension 1: Logistic Regression on Donation Probability. [Acs \(2025\)](#) finds that ideological distance between the president and an agency is associated with lower regulatory output. A possible parallel mechanism operates on the firm side: if firms anticipate that ideologically close agencies are more responsive to political pressure, they should donate when distance is small. I test this by regressing the binary donation indicator `isDonation` on distance using logistic regression with agency fixed effects ([Gelman et al. 2025](#)):

$$\Pr(\text{isDonation}_{ift} = 1) = \text{logit}^{-1}(\alpha + \beta \cdot \text{distance}_{at} + \pi_a)$$

where π_a is an agency fixed effect and distance_{at} is the ACS absolute president-agency ideological distance. A negative $\hat{\beta}$ indicates that firms donate more when the agency's ideology is close to the president, consistent with strategic targeting of politically aligned agencies. The binary nature of `isDonation` makes the negative binomial distribution from the ACS regulatory-productivity model in

Equation 5 inappropriate, so logistic regression is the correct GLM for this outcome.

Extension 2: Poisson versus Negative Binomial Overdispersion Diagnostic. Before extending the main results, I evaluate the negative binomial specification by re-estimating the ACS regulatory-productivity model in Equation 5 with a Poisson model and comparing fit using posterior predictive checks (Gelman et al. 2025). The Poisson distribution is the nested special case of the negative binomial as the reciprocal dispersion parameter $\phi \rightarrow \infty$. For count outcomes, the Poisson model imposes $\text{sd}(y_i) = \sqrt{\text{E}(y_i)}$, which is violated whenever the data show more variance than this constraint allows. I generate 200 simulated replications y^{rep} from both fitted models and compare the frequency of zero counts in replicated data to the observed distribution. A Poisson model that systematically underestimates zeros indicates overdispersion and supports the negative binomial specification in Acs (2025).

Extension 3: Ordered Logistic Regression on Agency Independence Tier. Acs (2025) estimates ideal points for agencies that span the full range of organizational independence. A remaining question is whether ideological distance predicts where an agency falls in the four-tier agency independence hierarchy of Fazekas et al. (2023). I test this using ordered logistic regression, treating `agency_cat2` (1 = most independent, 4 = least independent) as an ordered categorical outcome:

$$\Pr(\text{agency_cat}_a > k) = \text{logit}^{-1}(\beta \cdot \text{distance}_a - c_k), \quad k = 1, 2, 3$$

where c_k are cutpoints estimated alongside β . A negative $\hat{\beta}$ implies that agencies with greater ideological distance from the president tend to occupy more independent tiers, consistent with the institutional logic that independent agencies face less direct presidential oversight. I fit this using `MASS::polr`, which estimates β and the cutpoints c_k by maximum likelihood. This model is appropriate because the four tiers are ordered (independence is a latent continuous construct bucketed into discrete categories) but the gaps between tiers are not necessarily equal.

Explanatory Tables and Figures

Table D1. ACS distance + Fazekas outcomes

Variable	Role	Definition
distance	Independent variable (ACS)	Absolute president-agency ideological distance from ACS dynamic estimates
donor_contract_share	Dependent variable (Fazekas)	Share of contracts in agency-admin cell awarded to donor firms
donor_contract_count	Dependent variable (Fazekas)	Count of donor contracts in agency-admin cell
donation_amount	Dependent variable (Fazekas)	Total donation amount linked to firms in agency-admin cell
n_contracts	Dependent variable (Fazekas)	Total number of contracts in agency-admin cell
n_rules	Control / alternative productivity measure (ACS)	Number of planned rules in ACS estimation data
n_sig_rules	Control / alternative productivity measure (ACS)	Number of significant planned rules in ACS estimation data
review_rate	Control / alternative productivity measure (ACS)	Mean OIRA review indicator in ACS estimation data

Table D1 defines the merged-variable design used in the extension models below. The dependent variables are now donation and contracting outcomes from [Fazekas et al. \(2023\)](#), while ACS ideological distance remains the core predictor.

Table D2. Merge diagnostics for ACS-Fazekas extension panel

Metric	Value
Agency-admin rows in Fazekas aggregate (Bush/Obama)	317
Rows matched to ACS distance	48
Distinct matched agencies	25
Mean donor contract share	0.138
Mean contracts per matched agency-admin row	861.208

Table D2 reports the merge coverage for the new agency-administration panel. The matched panel is the estimation sample used in the extension models.

Table D3. ACS distance and Fazekas donation/contract outcomes

	Dependent variables from Fazekas (2023)			
	Donor contract share	Donor contract count	Log donation amount	Total contracts
President-Agency Distance	0.000 (0.019)	0.168 (0.137)	-2.256* (0.789)	-0.658* (0.333)
Obama administration (ref: Bush)	-0.045 (0.023)	-0.311* (0.143)	-0.242 (0.937)	0.383 (0.396)
Num.Obs.	48	48	48	48
* p < 0.05				
Standard errors in parentheses. Unit of analysis is the agency-administration cell.				

Table D3 extends the ACS regulatory-productivity model in Equation 5 by replacing regulatory activity outcomes with donation and contracting outcomes from Fazekas et al. (2023). Columns 1 and 3 use `lm` for continuous outcomes, while columns 2 and 4 use `glm.nb` for count outcomes. A negative coefficient on distance implies that greater ideological distance is associated with lower donor-linked contracting intensity, conditional on rule-volume controls.

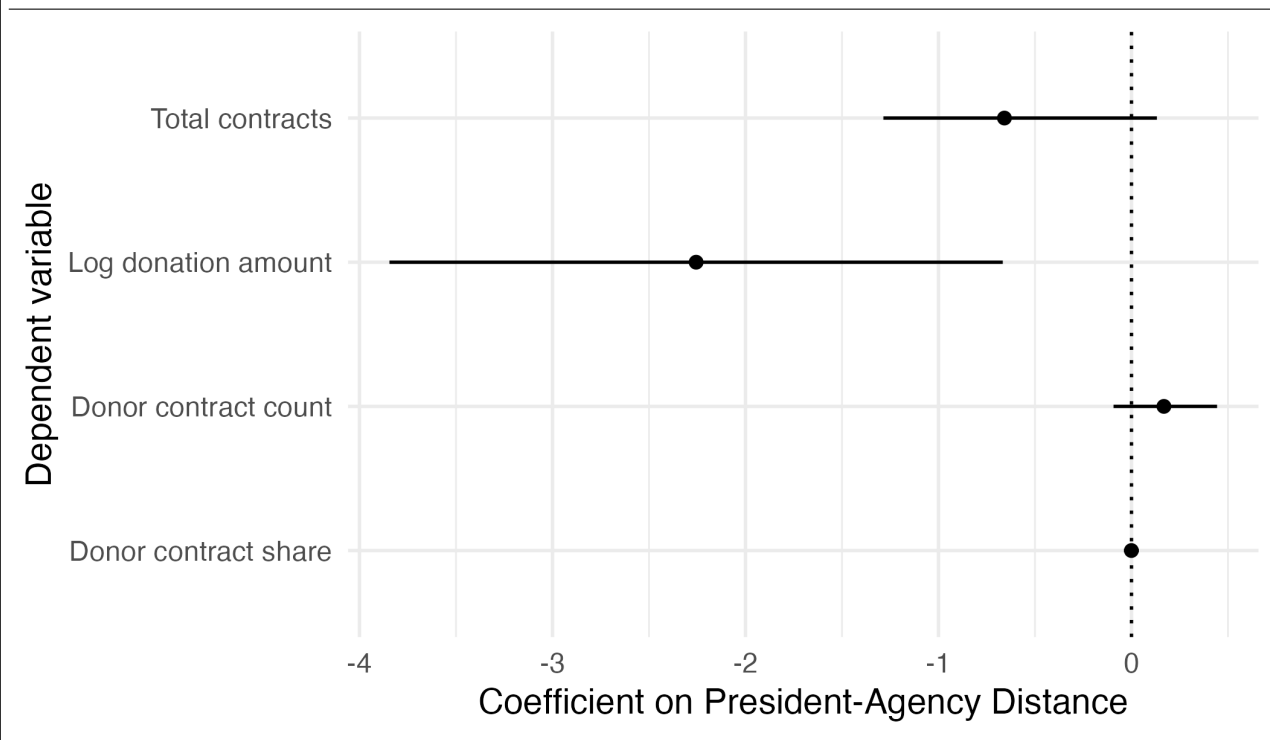
Figure D1. Distance Effect across Alternative Fazekas Outcomes

Figure D1 compares the distance coefficient across multiple dependent-variable definitions. This directly addresses sensitivity to outcome choice, which is one of the main robustness goals for this extension.

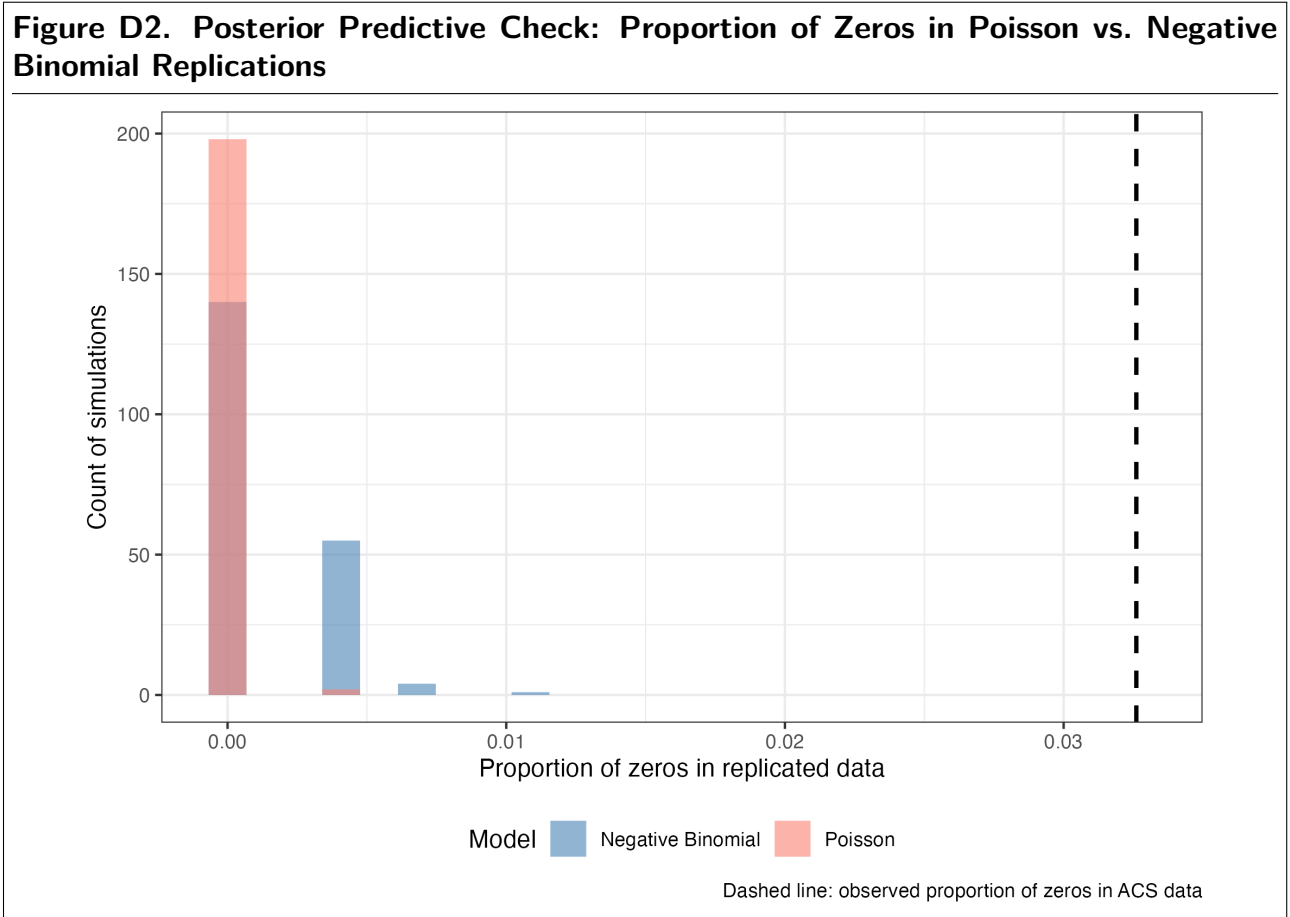


Figure D2 compares the proportion of zeros in 200 simulated datasets from Poisson and negative binomial models to the observed zero-rate (dashed line). The Poisson model systematically underestimates the proportion of zeros, while the negative binomial model generates replications closer to the observed rate, supporting the negative binomial specification in [Acs \(2025\)](#).

Fazekas et al. (2023) Extension

[Fazekas et al. \(2023\)](#) moderate the donation and favoritism relationship by agency independence, classified into four ordered tiers of formal insulation from presidential control. This framework captures meaningful structural variation but treats agencies within each tier as equivalent. Regulatory agencies,

those with binding rulemaking authority over private actors, represent a distinct institutional type that the four-tier classification does not fully isolate. Because regulatory decisions directly shape the competitive environment facing firms, the expected returns to political investment are highest in agencies that can impose or waive compliance costs. The regulatory versus non-regulatory distinction thus provides a theoretically grounded alternative moderator and tests whether donation-driven favoritism concentrates specifically in agencies whose discretion carries distributional weight for donors.

I extend the baseline specification by constructing a binary indicator that classifies agencies as regulatory or non-regulatory. The classification combines three matching strategies: strict matching against agency identifiers from [Acs \(2025\)](#), who estimate dynamic ideal points for US federal regulatory agencies from Clinton through Trump using an OIRA-based item response theory model; broad matching based on whether agencies issued final rules in the Federal Register during 2004 to 2015; and fuzzy string matching to resolve agencies not captured by the first two approaches. The combined indicator (`regulatory_finalmatch`) replaces the four-tier independence moderator in the baseline interaction model while retaining the original fixed-effect structure and clustering. This approach implicitly assumes that regulatory status is a meaningful and observable characteristic that firms can identify and target when allocating contributions. I also estimate (1) a difference-in-differences-in-differences (DDD) model that adds presidential party as a third dimension and (2) an event-study design around the 2009 Bush-Obama transition to examine whether donation effects in regulatory agencies vary with partisan control of the executive.

The tables below describe the agency composition of [Fazekas et al. \(2023\)](#)'s sample by independence category and contract frequency. I examine agency coverage before estimating extension models to identify distributional imbalances across tiers and to assess how well the ACS matching procedure covers the sample ([Acs 2025](#)).

To merge the ACS regulatory classification with the original data, I first create a one-to-one lookup table that maps each agency in the sample to its corresponding 4-level independence category. I then merge the ACS regulatory classification into the original data using agency identifiers and names, prioritizing exact matches and using fuzzy string matching for unmatched agencies. The resulting

Table D4. Total Number of Contracts by Agency Category in Fazekas et al. (2023) Sample

Agency category (4-level)	Unique agencies	Contract observations	Years in sample	First year	Last year
cabinet/exec. dep. and bureau	84	374572	11	2004	2014
cabinet/exec. dep. (not bureau)	9	51831	11	2004	2014
indep. agency	22	30892	11	2004	2014
indep. commission & IRC	27	3658	11	2004	2014
Total	140	460953	11	2004	2014

Table D5. Top 20 Agencies by Contract Frequency by Year

Agency name	Agency category (4-level)	Total contracts	2004	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014
Department of the Army	cabinet/exec. dep. and bureau	98200	8543	8910	9330	10004	10656	10782	10027	9182	8045	6163	6558
Department of the Navy	cabinet/exec. dep. and bureau	62425	5068	5550	5417	5955	6115	5497	5668	6242	6047	5180	5686
Defense Logistics Agency	cabinet/exec. dep. and bureau	59560	3468	3156	3191	3264	3598	4430	6646	7550	7993	8155	8109
Department of the Air Force	cabinet/exec. dep. and bureau	45101	4027	4182	4428	4616	4335	4224	4166	4061	4031	3515	3516
Department of Veterans Affairs	cabinet/exec. dep. (not bureau)	40421	2485	3077	2977	5347	4002	4277	4243	3752	3575	3736	2950
Agricultural Marketing Service	cabinet/exec. dep. and bureau	12564	1063	1049	1144	1208	1113	1127	1198	934	1279	1236	1213
Public Buildings Service	indep. agency	11473	1553	1257	1129	1075	1042	1157	1100	914	835	670	741
Farm Service Agency	cabinet/exec. dep. and bureau	8798	973	976	828	953	916	855	746	628	698	653	572
Forest Service	cabinet/exec. dep. and bureau	8468	766	788	758	869	867	954	1243	627	567	463	566
Bureau of Prisons/Federal Prison System	cabinet/exec. dep. and bureau	6760	539	523	525	607	562	561	585	639	741	699	779
U.S. Coast Guard	cabinet/exec. dep. and bureau	6661	647	669	564	556	650	612	625	599	610	536	593
National Aeronautics and Space Administration	indep. agency	6302	603	653	593	631	618	498	497	524	650	584	451
National Institutes of Health	cabinet/exec. dep. and bureau	5883	559	495	410	676	581	602	642	461	469	475	513
Department of State	cabinet/exec. dep. (not bureau)	5051	445	395	432	430	369	407	518	547	516	461	531
National Park Service	cabinet/exec. dep. and bureau	4284	329	405	305	424	541	573	320	320	293	342	
U.S. Agency for International Development	indep. agency	4275	197	237	209	338	356	393	552	499	471	494	529
Department of Defense	Missing	4248	114	121	139	176	583	546	553	521	550	405	540
Defense Information Systems Agency	cabinet/exec. dep. and bureau	4112	172	196	501	419	415	459	475	361	425	354	335
Federal Aviation Administration	cabinet/exec. dep. and bureau	3280	64	82	153	384	438	423	429	364	365	321	257
Office of Policy, Management and Budget/Chief Financial Officer	Missing	2806	412	511	283	241	239	201	230	211	223	122	133

Table D6. Bottom 20 Agencies by Contract Frequency by Year

Agency name	Agency category (4-level)	Total contracts	2007	2012	2004	2010	2006	2005	2013	2014	2009	2011	2008
Committee for Purchase from People who are Blind or Severely Disabled	indep. commission & IRC	1	0	0	1	0	0	0	0	0	0	0	0
Department of the Treasury	Missing	1	0	0	0	1	0	0	0	0	0	0	0
Election Assistance Commission	indep. commission & IRC	1	0	0	0	1	0	0	0	0	0	0	0
Immediate Office of the Secretary of Health and Human Services	cabinet/exec. dep. and bureau	1	0	0	1	0	0	0	0	0	0	0	0
National Mediation Board	Missing	1	0	0	0	0	0	1	0	0	0	0	0
Occupational Safety and Health Review Commission	Missing	1	1	0	0	0	0	0	0	0	0	0	0
Office of Citizen Services and Communications	Missing	1	0	0	0	0	0	0	0	0	0	1	0
Office of Special Counsel	Missing	1	0	0	0	0	0	0	0	0	0	0	1
Office of the Solicitor	Missing	1	0	0	1	0	0	0	0	0	0	0	0
Bureau of International Labor Affairs	cabinet/exec. dep. and bureau	2	0	0	2	0	0	0	0	0	0	0	0
Federal Housing Finance Board	indep. commission & IRC	2	0	0	0	0	2	0	0	0	0	0	0
Inspector General	Missing	2	0	0	0	0	0	0	1	1	0	0	0
Occupational Safety and Health Administration	cabinet/exec. dep. and bureau	2	0	0	2	0	0	0	0	0	0	0	0
Office of Job Corps	Missing	2	1	0	0	0	0	0	0	0	1	0	0
Veterans Employment and Training Services	cabinet/exec. dep. and bureau	2	0	0	0	0	0	0	0	0	0	0	0
Woodrow Wilson International Center for Scholars	Missing	2	0	0	0	0	0	0	2	0	0	0	0
Agency for Healthcare Research and Quality	cabinet/exec. dep. and bureau	3	2	1	0	0	0	0	0	0	0	0	0
Employment Standards Administration	cabinet/exec. dep. and bureau	4	0	0	4	0	0	0	0	0	0	0	0
Foreign Agricultural Service	cabinet/exec. dep. and bureau	4	0	0	0	0	1	3	0	0	0	0	0
Institute of Museum Services	indep. agency	5	2	0	0	1	0	0	0	0	2	0	0

Table D7. Distribution of Agencies by Category in Fazekas et al. (2023) Sample

Agency category (4-level)	Count	Percentage
indep. commission & IRC	3658	0.8%
cabinet/exec. dep. and bureau	374572	81.3%
indep. agency	30892	6.7%
cabinet/exec. dep. (not bureau)	51831	11.2%

regulatory_finalmatch variable classifies agencies as regulatory or non-regulatory based on the combined matching procedure. Table D8 reports the initial merge check.

Table D8. ACS (2025) Merge Check and Regulatory Dummy Coverage

n_obs	n_agencies	n_agencies_matched_to_acs	pct_obs_regulatory
475459	175	37	21.6

The following tables provide the full audit trail for the regulatory agency classification, including the strict ACS matches, the broader Federal Register matches, and the fuzzy-match candidates among unmatched agencies.

Table D9. Regulatory Audit Summary (Strict ACS vs Broad Rulemaking Reference)

metric	n
Unique agencies in Fazekas data	175
Strict ACS matches (regulatory_strict = 1)	37
Broad-only matches (broad=1, strict=0)	57
Unmatched in both references	81
Fuzzy candidates among unmatched	8
Broad regulatory reference size (2004-2015)	277

Table D10. Sample of Agencies Matched by Broad Rulemaking Reference but not ACS (2025) (first 10)

agency_name	agency_name_clean	agency_name_broad
Agricultural Research Service	agricultural research service	Agricultural Research Service
Broadcasting Board of Governors	broadcasting board of governors	Broadcasting Board of Governors
Centers for Disease Control and Prevention	centers for disease control and prevention	Centers for Disease Control and Prevention
Committee for Purchase from People who are Blind or Severely Disabled	committee for purchase from people who are blind or severely disabled	Committee for Purchase From People Who Are Blind or Severely Disabled
Commodity Futures Trading Commission	commodity futures trading commission	Commodity Futures Trading Commission
Consumer Product Safety Commission	consumer product safety commission	Consumer Product Safety Commission
Corporation for National and Community Service	corporation for national and community service	Corporation for National and Community Service
Court Services and Offender Supervision Agency for the District of Columbia	court services and offender supervision agency for the district of columbia	Court Services and Offender Supervision Agency for the District of Columbia
Defense Logistics Agency	defense logistics agency	Defense Logistics Agency
Defense Nuclear Facilities Safety Board	defense nuclear facilities safety board	Defense Nuclear Facilities Safety Board

Table D11. Sample of Fuzzy Match Candidates among Unmatched Agencies (first 10)

Agency name	Clean name	Nearest broad agency	Nearest broad (clean)	Edit dist.	Norm. dist.
Veterans Employment and Training Services	veterans employment and training services	Veterans Employment and Training Service	veterans employment and training service	1	0.024
U.S. Agency for International Development	u s agency for international development	Agency for International Development	agency for international development	4	0.100
U.S. International Trade Commission	u s international trade commission	International Trade Commission	international trade commission	4	0.118
USDA, Office of the Chief Financial Officer	usda office of the chief financial officer	Office of the Chief Financial Officer	office of the chief financial officer	5	0.119
Office of the Inspector General	office of the inspector general	Office of Inspector General	office of inspector general	4	0.129
Financial Management Service	financial management service	Minerals Management Service	minerals management service	6	0.214
Saint Lawrence Seaway Development Corporation	saint lawrence seaway development corporation	Great Lakes St. Lawrence Seaway Development Corporation	great lakes st lawrence seaway development corporation	12	0.222
Office of the Chief People Officer	office of the chief people officer	Office of the Chief Financial Officer	office of the chief financial officer	9	0.243

Table D12. Sample Regulatory Agency Reference List Used for Audit (Strict ACS + Broad Rulemaking)

agency_name_reference	agency_name_clean	agency_id_acs	in_acs_strict	in_federal_register
44 CFR Part 64	44 cfr part 64	NA	FALSE	TRUE
Administration Office, Executive Office of the President	administration office executive office of the president	NA	FALSE	TRUE
Administration for Children and Families	administration for children and families	HHS-ACF	TRUE	FALSE
Administrative Conference of the United States	administrative conference of the united states	NA	FALSE	TRUE
Advisory Council on Historic Preservation	advisory council on historic preservation	NA	FALSE	TRUE
Advocacy and Outreach Office	advocacy and outreach office	NA	FALSE	TRUE
Agency for International Development	agency for international development	AID	TRUE	TRUE
Aging Administration	aging administration	NA	FALSE	TRUE
Agricultural Marketing Service	agricultural marketing service	AG-AMS	TRUE	TRUE
Agricultural Research Service	agricultural research service	NA	FALSE	TRUE

Table [D13](#) reports the final match coverage combining strict, broad, and fuzzy matching strategies into the `regulatory_finalmatch` indicator used in the extension models.

Table D13. Final Regulatory Match Coverage (strict + broad + fuzzy)

contract	agencies	reg_agencies_finalmatch	pct_obs_finalmatch
475459	175	102	42.7